

Policyholder Protection

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Application and Definitions

1.1

This Part applies to the _FSCS_, and:

1. (a) for the purposes of Chapter 5A, this Part also applies to _insurers under write-down_ and _insurers_ that have been so, but not to _affected market participants_ or the _Society_ ; and
2. (b) for the purposes of chapter 21, 22.6 \- 22.8 and Annex 2, this Part also applies to _participant firms_ and the _Society_.

1.1A

This rule is effective from 23:00 on 31/12/2020.

For the purposes of Chapter 21 and Annex 2, references to ?firm? includes _CRO insurers_.

1.2

In this Part, the following definitions shall apply:

article 9 default

has the meaning given in article 2(2) of the _compensation transitionals order_.

authorised insurance company

means (in accordance with the _compensation transitionals order_) a _person_ who was, at any time before 1 December 2001, authorised under section 3 or 4 of the Insurance Companies Act 1982 to carry on insurance business of any class in the _UK_.

base costs

means _management expenses_ which are not attributable to any _insurance class_.

base costs levy

means a levy, forming part of the _management expenses levy_ , to meet the _base costs_ in the financial year of the _compensation scheme_ to which the levy relates, each _participant firm's_ (and, where applicable, the _Society's_) share being calculated in accordance with the FSCS Management Expenses Levy Limit and Base Costs Part.

building guarantee insurance

means a _contract of general insurance_ providing building guarantee, construction warranty and/or structural defects

cover in relation to newly built, converted or renovated residential property, including but not limited to the risk of physical damage and/or defect arising from non-compliance with relevant building or fire regulations or standards.

claim

means a valid claim made in respect of a civil liability:

1. (1) owed by a _relevant person_; or
2. (2) owed by a _relevant person_ which has been assumed by a _successor_ and which is based on the acts or omissions of the _relevant person_;

under a _contract of insurance_.

COMP

means the Compensation Sourcebook of the _PRA Handbook_ in force immediately prior to 3 July 2015.

compensation costs

means the costs incurred:

1. (1) in paying compensation in accordance with this Part;
2. (2) as a result of making the arrangements contemplated in 4.1 or 4.3 or taking the measures contemplated in 5.1;
3. (2A) as a result of taking the other measures contemplated in 5A.1; or
4. (3) in making payments or giving indemnities under 18.2.

compensation costs levy

means a levy imposed by the _FSCS_ on _participant firms_ to meet _compensation costs_, each _participant firm's_ share being calculated in accordance with 21.37 ? 21.41.

compensation transitionals order

means the Financial Services and Markets Act 2000 (Transitional Provisions, Repeals and Savings) (Financial Services Compensation Scheme) Order 2001 (SI 2001/2967).

contribution group

means one of the groups of _participant firms_ within a _sub-scheme_ in existence prior to 1 April 2008 set out in _FEES_ 6.5.7 R at the time, being groups that carried on business of a similar nature, to which _compensation costs_ and _specific costs_ were allocated in accordance with _FEES_ 6.4 and _FEES_ 6.5 in force at the relevant time.

credit

means the class of _contract of insurance_, specified in paragraph 14 of Part I of Schedule 1 to the _Regulated Activities Order_.

CRO insurer

a _person_ to whom Regulation 47 of the _EEA Passport Exit Regulations_ applies in respect of the activities of _effecting contracts of insurance_ or _carrying out contracts of insurance_.

depository

has the meaning given to it in regulation 2 of the Alternative Investment Fund Managers Regulations 2013.

directive friendly society

means a _friendly society_ that is a _UK Solvency II firm_.

EEA Passport Exit Regulations

means the EEA Passport Rights (Amendment, etc., and Transitional Provisions) (EU Exit) Regulations 2018.

eligible claimants

means a _person_ who is eligible to bring a _claim_ for compensation under 7.1.

FEES

means the Fees Manual of the _PRA Handbook_ in force immediately prior to 3 July 2015.

friendly society

means an _incorporated friendly society_ or a _registered friendly society_.

Friendly Societies Protection Scheme

means the Friendly Societies Protection Scheme established in accordance with section 141 of the Financial Services Act 1986.

group

has the meaning given to it in section 421 of _FSMA_ and where the context requires, includes reference to Gibraltar as appropriate.

habitual residence

means:

1. (1) if the _policyholder_ is an individual, the address given by the _policyholder_ as his residence if it reasonably appears to be a residential address and there is no evidence to the contrary;
2. (2) if the _policyholder_ is not an individual or a group of individuals, the State in which the _policyholder_ has its place of establishment, or, if it has more than one, its relevant place of establishment; or
3. (3) in respect of the variation of a _life policy_ , or the purchase of a _pension annuity_ related to a _life policy_ , unless there is evidence to the contrary, the habitual residence of the _policyholder_ at the date on which the _policyholder_ signed the proposal for the _life policy_.

holding company

has the meaning given to it in section 1159(1) of the Companies Act 2006 (Meaning of 'subsidiary' etc).

in default

means the status of being in default following a determination under 10.2 for a _relevant person_ (or where applicable, under 11.2 for a _successor_).

insurance class

means one of the classes set out in Annex 1.

large company

means a _body corporate_ which does not qualify as a small company under section 247 of the Companies Act 1985, or section 382 of the Companies Act 2006 as applicable.

large mutual association

means an unincorporated mutual association or an unincorporated association (which is not a mutual association) with net assets of more than £1.4 million (or its equivalent in any currency at the relevant time).

large partnership

means a _partnership_ with net assets of more than £1.4 million (or its equivalent in any other currency at the relevant time).

levy limit

means the maximum aggregate amount of _compensation costs_ and _specific costs_ that may be allocated to a particular _insurance class_ in one financial year as set out in Annex 1.

liability subject to compulsory insurance

means any liability required under any of the following enactments to be covered by insurance or (as the case may be) by some other provisions for securing its discharge:

1. (1) section 1(4A)(d) of the Riding Establishments Act 1964 (or any corresponding enactment for the time being in force in Northern Ireland);
2. (2) section 1 of the Employers' Liability (Compulsory Insurance) Act 1969 or Article 5 of the Employers' Liability Order (Defective Equipment and Compulsory Insurance) (Northern Ireland) Order 1972;
3. (3) Part VI of the Road Traffic Act 1988 or Part VIII of the Road Traffic (Northern Ireland) Order 1981;
4. (4) section 19 of the Nuclear Installations Act 1965.

life policy

means (in accordance with the definition of a 'qualifying contract of insurance' in article 3(1) of the _Regulated Activities Order_) a _contract of long-term insurance_ (other than a reinsurance contract and a _pure protection contract_) and a _long-term care insurance contract_.

limited liability partnership

means:

1. (1) a _body corporate_ incorporated under the Limited Liability Partnerships Act 2000;
2. (2) a _body corporate_ incorporated under legislation having the equivalent effect to the Limited Liability Partnerships Act 2000.

Lloyd's policy

means a _contract of insurance_ written at Lloyd's.

long-term care insurance contract

means a _contract of long-term insurance_ :

1. (1) which provides, would provide at the _policyholder's_ option, or is sold or held out as providing, benefits that are payable or provided if the _policyholder's_ health deteriorates to the extent that he cannot live independently without assistance and that is not expected to change; and

2. (2) under which the benefits are capable of being paid for periodically for all or part of the period that the _policyholder_ cannot live without assistance;

where 'benefits' are services, accommodation or goods necessary or desirable for the continuing care of the _policyholder_ because he cannot live independently without assistance.

management expenses

means (in accordance with section 223 of _FSMA_ (Management expenses)) expenses incurred or expected to be incurred by the _FSCS_ in connection with its function under _FSMA_, other than _compensation costs_ and costs incurred under Part 15A of _FSMA_.

management expenses levy

means a levy imposed by the _FSCS_ on _participant firms_ to meet the _management expenses_ and which is made up of one or more of a _base cost levy_ and a _specific costs levy_, each _participant firm's_ share being calculated in accordance with 21.28 ? 21.35.

mesothelioma regulations

means The Compensation Act 2006 (Contribution for Mesothelioma Claims) Regulations 2006 (SI 2006/3259).

mesothelioma victim

means (in accordance with section 3 (1) of the Compensation Act 2006) a _person_ who has contracted mesothelioma as a result of exposure to asbestos by a _responsible person_.

money laundering

has the meaning given in Article 1(3) of the Money Laundering Directive 2015/849/EU.

money-purchase benefits

means in relation to a member of a _personal pension scheme_ or an _occupational pension scheme_ or the widow or widower or surviving civil partner of a member of such a scheme, benefits the rate or amount of which is calculated solely by reference to the schemes assets which (because of the nature of the calculation) must necessarily suffice to provide the benefits which fall within section 181 of the Pensions Scheme Act 1993 and section 99 of the Pensions Act 2008, each as amended by section 29 of the Pensions Act 2011.

nominee company

means a _body corporate_ whose business consists solely of acting as a nominee holder of _investments_ or other property.

occupational pension fund management business

means the business of carrying on:

1. (1) _pension fund management_ ;
2. (2) (other than in connection with a _personal pension scheme_) _pension fund management_ written as linked long-term business, for an _occupational pension scheme_ or for an institution referred to in article 2 of the Council Directive of 3 June 2003 on the activities and supervision of institutions for occupation retirement provision (No 2003/43/EC), but only to the extent that:
 1. (a) there is no transfer to the _participant firm_ of:
 1. (i) investment, market or credit risk;

2. (ii) mortality or expense risk prior to any annuity being effected; and
2. (b) any annuity options provide for the _participant firm_ to change the annuity rates without prior notice.

occupational pension scheme

means a scheme specified in article 3(1) of the _Regulated Activities Order_ which is, in summary, a pension scheme established for the purpose of providing benefits to people with service in employments of a prescribed description.

operator

means (in relation to a _personal pension scheme_ or a _stakeholder pension scheme_) the _person_ who carries on the regulated activity specified in article 52 of the _Regulated Activities Order_ (Establishing a pension scheme etc).

overseas financial services institution

means an institution authorised to carry on any _regulated activity_ or other financial service by an _overseas regulator_.

participant firm

means:

(1) a _firm_ which is an _insurer_ , or a member (except:

(a) 21, 22.6 \- 22.8 and Annex 2 in respect of a _member_ ; and

(b) 21 and Annex 2 in respect of a _relevant person_ which is an _insurer under write-down_); or

(2) a _CRO insurer_.

pension annuity

means an investment purchased with the sums derived from the vesting (partial or full) of a _pension policy_ or _pension contract_ , for the purposes of securing the beneficiary's entitlement to immediate or future benefits.

pension contract

means a contract under which rights to benefits are obtained by the making of contributions to an _occupational pension scheme_ or to a _personal pension scheme_ , where the contributions are paid to a _regulated collective investment scheme_.

pension fund management

means in relation to a class of _contract of insurance_ the class of _contract of insurance_ specified in paragraph VII of Part II of Schedule 1 to the _Regulated Activities Order_ (Contracts of long-term insurance).

pension policy

means a contract under which a right to benefits results from contributions made to an _occupational pension scheme_ or to a _personal pension scheme_ , where the contributions are paid to a _long-term insurer_.

pension scheme

means a scheme under which a right to benefits results from contributions made under a _pension contract_ or _pension policy_.

personal pension scheme

means a scheme or arrangement which is not an _occupational pension scheme_ or _stakeholder pension scheme_ and which is comprised in one or more instruments or agreements having or capable of having effect so as to provide benefits to or in respect of people:

1. (1) on retirement;
2. (2) on having reached a particular age; or
3. (3) on termination of service in an employment.

policyholder

means (as defined in article 3 of the Financial Services and Markets Act 2000 (Meaning of "Policy?" and "Policyholder") Order 2001 (SI 2001/2361)) the _person_ who for the time being is the legal holder of the _policy_, including any _person_ to whom, under the _policy_, a sum is due, a periodic payment is payable or any other benefit is to be provided or to whom such a sum, payment or benefit is contingently due, payable or to be provided.

professional indemnity insurance

means _contracts of insurance_, including directors? and officers? liability and error and omissions liability, against the risks of the persons insured incurring liabilities to third parties arising from wrongful acts (such as breach of duty, breach of trust, negligence, error or omissions) by professionals, named individuals or businesses occurring in the course of the insured?s professional activities.

protected contract of insurance

means a _contract of insurance_ which is covered by the _policyholder protection scheme_ as defined in 9.2.

pure protection contracts

means:

1. (1) a _contract of long-term insurance_ in respect of which the following conditions are met:
 1. (a) the benefits under the contract are payable only on death or in respect of incapacity due to injury, sickness or infirmity;
 2. (b) the contract has no surrender value, or the consideration consists of a single premium and the surrender value does not exceed that premium; and
 3. (c) the contract makes no provision for its conversion or extension in a manner which would result in it ceasing to comply with (a) or (b); or
2. (2) a _reinsurance contract_ covering all or part of a risk to which a _person_ is exposed under a _contract of long-term insurance_.

quantification date

means the date as at which the liability of the _relevant person_ _in default_ is to be determined under 19.8 ? 19.10.

relevant former scheme

means in relation to an _article 9 default_, one of the following that applied to the default before 1 December 2001:

1. (1) the Policyholders Protection Scheme established by the Policyholders Protection Act 1975; or
2. (2) the Friendly Societies Protection Scheme established in accordance with section 141 of the Financial Services Act 1986.

relevant general insurance contract

means any _contract of general insurance_ other than a contract falling within any of the following classes:

1. (1) _aircraft_ ;
2. (2) _ships_ ;
3. (3) _goods in transit_ ;
4. (4) _aircraft liability_ ;
5. (5) _liability of ships_ ; or
6. (6) _credit_.

relevant person

means a _person_ for _claims_ against whom the _policyholder protection scheme_ provides cover, as defined in 10.1.

remuneration

means any form of remuneration, including salaries, discretionary pension benefits and benefits of any kind.

responsible person

means (in accordance with section 3(1) of the Compensation Act 2006) a _person_ who has negligently or in breach of statutory duty caused or permitted another _person_ to be exposed to asbestos (including an _insurer_ of such a _person_).

small business

means a _partnership_, _body corporate_, unincorporated association or mutual association with an annual turnover of less than £1 million (or its equivalent in any other currency at the relevant time).

small self-administered scheme

means an _occupational pension scheme_ of a kind described in article 4(4) or 4(5) of the Financial Services and Markets Act 2000 (Carrying on Regulated Activities by Way of Business) Order 2001 (SI 2001/1177).

specific costs

means _management expenses_ other than _base costs_.

specific costs levy

a levy, forming part of the _management expenses levy_, to meet the _specific costs_ in the financial year of the _compensation scheme_ to which the levy relates, each _participant firm's_ share being calculated in accordance with 21.34.

stakeholder pension scheme

means a scheme that meets the conditions in section 1 of the Welfare Reform and Pensions Act 1999 or article 3 of the Welfare Reform and Pensions (Northern Ireland) Order 1999.

sub-scheme

means one of the sub-schemes to which the _FSCS_ allocated liabilities for _compensation costs_ prior to 1 April 2008, as described in _FEES_ 6.5.7 R at the time.

successor

means a **_person_** for **_claims_** against whom the **_policyholder protection scheme_** provides cover, as defined in 11.1.

SUP

means the Supervision Manual of the **_PRA Handbook_** in force immediately prior to 3 July 2015.

top-up amount

has the meaning given in 5A.4(2).

trust account

means the bank account referred to in 5A.2(1)(c).

trust deed

means the trust deed referred to in 5A.2(2)(a).

written-down claim

means a **_claim_** as reduced by virtue of a **_write-down order_**.

2

FSCS

2.1

The **_FSCS_** must administer the **_policyholder protection scheme_** in accordance with the rules in this Part, the FSCS Management Expenses Levy Limit and Base Costs Part, the Management Expenses in Respect of Relevant Scheme Part, and any other Part of the **_PRA_** Rulebook prescribed by law to ensure that the **_policyholder protection scheme_** is administered in a manner that is procedurally fair and in accordance with the European Convention on Human Rights.

2.2

The **_FSCS_** must publish information for claimants and potential claimants on the operation of the **_policyholder protection scheme_**.

2.3

The **_FSCS_** may agree to pay the reasonable costs of an **_eligible claimant_** bringing or continuing insolvency proceedings against a **_relevant person_** (whether those proceedings began before or after a determination of default), if the **_FSCS_** is satisfied that those proceedings would help it to discharge its functions under the requirements of this Part.

2.4

The **_FSCS_** must have regard to the need to use its resources in the most efficient and economic way in carrying out its functions under the requirements of this Part.

2.5

The **_FSCS_** must take appropriate steps to ensure that potential claimants are informed of how they can make a **_claim_** for compensation as soon as possible after a determination has been made that a **_relevant person_** (or where

applicable, a _successor_) is _in default_ , whether by the _FSCS_ or the _PRA_.

2.6

The _FSCS_ must put in place and publish procedures which satisfy the minimum requirements of procedural fairness and comply with the European Convention on Human Rights for the handling of any complaints of maladministration relating to any aspect of the operation of the _policyholder protection scheme_.

2.7

Notwithstanding anything to the contrary in this Part in relation to the _Society_ , _members_ and _Lloyd's policies_ , the _FSCS_ must act, so far as is reasonably practicable, to ensure that:

1. (1) _eligible claimants_ have protection under this Part in relation to _Lloyd's policies_ equivalent to that otherwise afforded to _eligible claimants_ by the _FSCS_ ;
2. (2) the _FSCS_ does not meet _claims_ in relation to _Lloyd's policies_ unless the _Central Fund_ is unlikely to be able to meet them;
3. (3) _claims_ against _members_ under the _policyholder protection scheme_ which arise from the same loss under the same _Lloyd's policy_ must be treated as a single _claim_ ; and
4. (4) any recovery resulting from the exercise of any subrogation or assignment of rights to the _FSCS_ , is treated by the _FSCS_ in accordance with 14.1 ? 14.6, and any such recovery which is not paid to the claimant in accordance with those rules, is used for the benefit of _FSCS_ in priority to any interest that the _Society_ may have.

2.8

For the purposes of sections 219(1A)(b) and (d) of _FSMA_ (Scheme manager's power to require information), whether a _relevant person_ (or where applicable, a _successor_) is unable or likely to be unable to satisfy claims, shall be determined by reference to whether:

1. (1) the _relevant person_ (or where applicable, the _successor_) is _in default_ ;
2. (2) the _FSCS_ has secured, or is attempting to secure, continuity of _contracts of long-term insurance_ for _policyholders_ of the _relevant person_ in accordance with 4.1;
3. (3) the _FSCS_ has made, or is considering making, a payment to _policyholders_ of the _relevant person_ in accordance with 4.3; or
4. (4) the _FSCS_ has taken, or is considering taking, measures for the purposes of safeguarding the rights of _policyholders_ of the _relevant person_ in accordance with 5.1.

3

Qualifying Conditions for Paying Compensation

3.1

The _FSCS_ may pay compensation to an _eligible claimant_ , subject to 18, if it is satisfied that:

1. (1) an _eligible claimant_ has made an application for compensation (or falls within the category of persons referred to in 3.2);
2. (2) the claim is in respect of a _protected claim_ against a _relevant person_ (or where applicable, a _successor_) who is _in default_ ;
3. (3) where the _FSCS_ so:
 1. (a) requires, the claimant has assigned the whole or any part of his rights under the _protected contract of insurance_ against the _relevant person_ (or where applicable, a _successor_) or against any third party to the _FSCS_ , on such

terms as the _FSCS_ thinks fit; and/or

2. (b) determines, the claimant has immediately and automatically subrogated all or any part (as determined by the _FSCS_) of its rights and claims against the _relevant person_ (or where relevant, a _successor_) under the _protected contract of insurance_ or against any third party to the _FSCS_, on such conditions (under 13) as the _FSCS_ thinks fit; and

4. (4) it:

1. (a) is not reasonably practicable or appropriate to make, or continue to make, arrangements to secure continuity of insurance under 4.1; and/or

2. (b) would not be appropriate to take, or continue to take, measures under 5.1 to safeguard _policyholders_ of a _relevant person_ in financial difficulties.

3.2

The _FSCS_ may treat _persons_ who are or may be entitled to claim compensation as if they had done so.

3.3

The _FSCS_ may pay compensation (and any recovery or other amount payable by the _FSCS_ to the claimant) to a _person_ who makes a _claim_ on behalf of another _person_ ___ if the _FSCS_ is satisfied that the _person_ on whose behalf the _claim_ is made:

1. (1) is or would have been an _eligible claimant_ ; and

2. (2) would have been paid compensation by the _FSCS_ had he been able to make the _claim_ himself, or to pursue his application for compensation further.

3.4

Notwithstanding any provision in this Part to the contrary, the _FSCS_ may:

1. (1) pay compensation in accordance with 18;

2. (2) secure continuity of a _contract of long-term insurance_ in accordance with 4.1;

3. (3) make a payment to an _eligible claimant_ in accordance with 4.3;

4. (4) take such measures as it considers appropriate in accordance with 5.1; or

5. (5) make a payment to an _insurer under write-down_ in accordance with 5A.1, so as to enable the _insurer under write-down_ to pay a _top-up amount_ in respect of a _written-down claim_ in accordance with 5A.4;

6. without fully or at all investigating the eligibility of the claimant and/or the validity and/or amount of the _claim_, if in the opinion of the _FSCS_ :

1. (a) the costs of investigating the merits of the _claim_ are reasonably likely to be disproportionate to the likely benefit of such investigation; and

2. (b) (as a result or otherwise) it is reasonably in the interests of _relevant persons_ to do so.

4

Securing Continuity of Long-Term Insurance Cover

4.1

Subject to 6.1, the _FSCS_ must make arrangements to secure continuity of insurance for an _eligible claimant_ under a _protected contract of insurance_ which is a _contract of long-term insurance_ with a _relevant person_ , if:

1. (1) the _relevant person_ is the subject of any of the proceedings listed in 10.4;

2. (2) it is reasonably practicable to do so;

3. (3) in the opinion of the _FSCS_ at the time it proposes to make the arrangements, it would be beneficial to the generality of _eligible claimants_ covered by the proposed arrangements, and, in situations where the cost of securing continuity of insurance might exceed the cost of paying compensation under 3.1, any additional cost is likely to be justified by the benefits; and

4. (4) where the _relevant person_ is a _member_, the _FSCS_ is satisfied that the amounts which the _Society_ is able to provide from the _Central Fund_ are or are likely to be insufficient to ensure that _claims_ against the _member_ under a _protected contract of insurance_ will be met to the level of protection which would otherwise be available under this Part.

4.2

In order to secure continuity of insurance under 4.1 the _FSCS_ may take such measures as it considers appropriate to:

1. (1) secure or facilitate the transfer of the business of the _relevant person_ that is _in default_ and which consists of carrying out _contracts of long-term insurance_ or any part of that business, to another _firm_ ; and/or
2. (2) secure the issue of policies by another _firm_ to _eligible claimants_ in substitution for their existing policies.

4.3

1. (1) If the _FSCS_ is seeking to secure continuity of insurance under 4.1, it must secure 100% of any benefit under a _contract of long-term insurance_ which:

1. (a) falls due, or would have fallen due, to be paid to any _eligible claimant_ ; or
2. (b) had already fallen due to be paid to any _eligible claimant_ before the beginning of that period and has not yet been paid;

and is paid to the _eligible claimant_ in question as soon as reasonably practicable after the time when the benefit in question fell due, or would have fallen due, under contract.

1. (2) Any payment under (1) is made subject to and in accordance with any other terms which apply or would have applied under the contract.

2. (3) A payment made under (1) is required to be made regardless of whether the cost of making the payment is more or less than the cost of paying compensation under 3.1 ? 3.3.

3. (4) Where a payment is due under (1), the _FSCS_ may:

1. (a) make payments to or on behalf of _eligible claimants_ on such terms (including any terms requiring repayment in whole or in part) and on such conditions as it thinks fit (subject to (1)); or
2. (b) secure that payments (subject to (1)) are made to or on behalf of any such _eligible claimants_ by the liquidator, administrator or provisional liquidator by giving him an indemnity covering any such payments or any class or description of such payments.

4.4

For the purposes of 4.3 and 6.1 ? 6.3, "benefit" does not include:

1. (1) any bonus provided for under the contract unless it was declared and the _policyholder_ was contractually entitled to it before the _relevant person_ became the subject of one or more of the proceedings listed in 10.4; or
2. (2) any reduction which the _FSCS_ has determined, or any benefit which the _FSCS_ has decided to disregard under 20.7, to the extent that the _FSCS_ has decided so to treat it.

4.5

Unless the _FSCS_ has decided to treat the liability of the _relevant person_ under the contract as reduced or (as the case may be) disregarded under 20.7, it must not treat as a reason for failing to secure, or for delaying the securing of, payments under 4.3 the fact that:

1. (1) it considers that any benefit referred to in 4.3 is or may be excessive in any respect;
2. (2) it has referred the contract in question to an independent actuary under 20.6; or
3. (3) it considers that it may at some later date decide to treat the liability of the _relevant person_ under a contract as reduced or disregarded under 20.7;

save where the _FSCS_ decides to exclude certain benefits to the extent that they arise out of the exercise of any option under the policy and for this purpose the option includes, but is not restricted to, a right to surrender the policy.

4.6

In making arrangements to secure continuity of insurance the _FSCS_ must use its reasonable endeavours to seek the most cost-effective arrangements available.

5

Relevant Persons in Financial Difficulties

5.1

1. (1) Subject to 6.1 and 6.2, the _FSCS_ may take such measures as it considers appropriate for the purpose of safeguarding the rights of _eligible claimants_ under _protected contracts of insurance_ which are:
 1. (a) _contracts of general insurance_ with a _relevant person_ in financial difficulties as described in 5.4; or
 2. (b) _contracts of long-term insurance_ with a _relevant person_ in financial difficulties as described in 5.4 but in respect of which the _FSCS_ is not securing continuity of insurance within 4.1;
2. if, in the opinion of the _FSCS_ at the time it proposes to make the measures, it would be beneficial to the generality of _eligible claimants_ covered by the proposed measures, and, in situations where the cost of taking those measures might exceed the cost of paying compensation under 3.1, any additional cost is likely to be justified by the benefits.
3. (2) Measures under (1) may be taken on such terms (including terms reducing or deferring payment of any liabilities or benefits provided under any _protected contracts of insurance_) as the _FSCS_ considers appropriate.

5.2

The measures contemplated in 5.1 include measures to:

1. (1) secure or facilitate the transfer of the _insurance business_ of the _relevant person_ , or any part of the business, to another _firm_ ;
2. (2) give assistance to the _relevant person_ to enable it to continue to _effect contracts of insurance_ or _carry out contracts of insurance_ ; and
3. (3) secure the issue of policies by another _firm_ to _eligible claimants_ in substitution for their existing policies.

5.3

If it thinks appropriate, the _PRA_ may, in relation to any _relevant person_ which is in financial difficulties:

1. (1) give the _FSCS_ assistance in determining what measures under 5.1 are practicable or desirable;
2. (2) impose constraints on the measures which may be taken by the _FSCS_ under 5.1; and/or
3. (3) require the _FSCS_ to provide it with information about any measures which it is proposing to take under 5.1.

5.4

A _relevant person_ is in financial difficulties for the purpose of 5.1 if:

1. (1) a liquidator, administrator, provisional liquidator, administrative receiver or interim manager is appointed to the

- _relevant person_ , or a receiver is appointed by the court to manage the _relevant person?s_ affairs;
2. (2) there is a finding by a court of competent jurisdiction that the _relevant person_ is unable to pay its debts;
 3. (3) a resolution is passed for winding up of the _relevant person_ , unless a declaration of solvency has been made in accordance with section 89 of the Insolvency Act 1986;
 4. (4) the _PRA_ determines that the _relevant person_ is likely to be unable to satisfy _protected claims_ against it;
 5. (5) approval is given to any company voluntary arrangement made by the _relevant person_ ;
 6. (6) the _relevant person_ makes a composition or arrangement with any one or more of its creditors providing for the reduction of, or deferral of payment of, the liabilities or benefits provided for under any of the _relevant person?s_ policies;
 7. (7) the _relevant person_ is dissolved or struck off from the Register of Companies;
 8. (8) a receiver is appointed over particular property of the _relevant person_ ;
 9. (9) any of (1) to (8) or anything equivalent occurs in respect of the _relevant person_ in a jurisdiction outside England and Wales; or
 10. (10) in the case of a _relevant person_ which is a _member_ , the _FSCS_ is satisfied that any of (1) to (9) apply to the _member_ , and the amounts which the _Society_ is able to provide from the _Central Fund_ are or are likely to be insufficient to ensure that _claims_ against the _member_ under a _protected contract of insurance_ will be met to the level of protection which would otherwise be available under this Part.

5A

Insurers Under Write-Down

5A.1

1. (1) The _FSCS_ must pay an _insurer under write-down_ in accordance with 5A.3 if the conditions in 5A.2(1) are satisfied.
2. (2) The _FSCS_ may also take such measures as it considers appropriate in respect of an _insurer under write-down_ in accordance with:
 1. (a) Chapter 4 (in respect of _contracts of long-term insurance_), as if the _insurer under write-down_ were within the scope of 4.1; and/or
 2. (b) Chapter 5, as if the _insurer under write-down_ were in financial difficulties within the meaning of 5.4.

5A.2

1. (1) The conditions referred to in 5A.1"(1) are:
 1. (a) the _FSCS_ has been notified in accordance with section 377F of _FSMA_ and 2.1(7) of the Insurers in financial difficulties: Notification of Affected Persons Part that a _write-down order_ has been made in respect of the _insurer under write-down_ ;
 2. (b) a _write-down manager_ has been appointed in respect of the _insurer under write-down_ ;
 3. (c) an account has been opened in the name of the _insurer under write-down_ for the purpose of receiving payments from the _FSCS_ which will then fund _top-up amounts_ (the ? _trust account_ ?); and
 4. (d) a trust has been entered into in respect of any funds from time-to-time held in the _trust account_ which satisfies the minimum criteria in (2).
2. (2) The minimum criteria of the trust are that:
 1. (a) it is established and documented under a _trust deed_ entered into by the _insurer under write-down_ ;
 2. (b) it has the _insurer under write-down_ as the trustee;
 3. (c) it is over any funds from time-to-time held in the _trust account_ (including any interest that accrues on the account);
 4. (d) the only funds to be held in the _trust account_ will be those received from the _FSCS_ under this Chapter and

any accrued interest;

5. (e) it is a discretionary trust with the following beneficiaries:

1. (i) first, any _policyholder_ of the _insurer under write-down_, insofar as the _policyholder_ is an _eligible claimant_ with a _written-down claim_ by virtue of the _write-down order_ (to be described in the _trust deed_ by class of _contract of insurance_); and
2. (ii) second, the _FSCS_, in respect of any residual amounts held in the _trust account_ (including residual amounts existing upon the _write-down order_ ceasing to have any further effect in accordance with section 377H of _FSMA_); and
6. (f) in accordance with section 217ZA(5)(a) of _FSMA_, amounts paid into the _trust account_ by the _FSCS_ under 5A.1(1) shall not be used by the _insurer under write-down_ (whether or not by the _write-down manager_ acting on its behalf) for any other purpose.

5A.3

1. (1) Payments to be made by the _FSCS_ in accordance with 5A.1(1) must be paid into the _trust account_ in such amounts and at such times as the _FSCS_ determines sufficient for the _insurer under write-down_ to be able to pay _top-up amounts_ to _eligible claimants_.
2. (2) Such payments must include an amount sufficient for such _top-up amounts_ to be paid by the _insurer under write-down_ in respect of any due and payable _written-down claim_ (or such a _claim_ that would be due and payable but for the effect of the _write-down order_) including an amount in respect of any such interest as the _FSCS_ may consider appropriate.
3. (3) In determining payments under (1) and (2), the _FSCS_ must have regard in each case to any representations or other relevant information provided by the _insurer under write-down_.

5A.4

1. (1) The _insurer under write-down_ must pay a _top-up amount_ to a _policyholder_ that is an _eligible claimant_ with a due and payable _written-down claim_ (or that would be due and payable but for the _write-down order_), but only if:
 1. (a) there are sufficient funds in the _trust account_ to do so; and
 2. (b) the _written-down claim_ is less than the amount that the _FSCS_ would pay if, rather than the _claim_ being subject to the _write-down order_, the circumstances were such that the _claim_ gave rise to an entitlement to compensation under Chapter 3.
2. (2) The _top-up amount_ t in respect of an _eligible claimant_ in respect of a _claim_ is: $A \times B\% - C$ where:
 1. A is the _claim_ (as if the _write-down order_ were not in effect);
 2. B , expressed as a percentage, is the level of cover that would apply under Chapter 17 in respect of the _claim_ if, rather than the _claim_ being subject to the _write-down order_, the circumstances were such that the _claim_ gave rise to an entitlement to compensation under Chapter 3; and
 3. C is the _written-down claim_.
3. (3) The _insurer under write-down_ must add interest to the _top-up amount_ t , if the _FSCS_ has provided funding for it to do so.

5A.5

1. (1) Where a _write-down order_ ceases to have any further effect in accordance with section 377H of _FSMA_, the _FSCS_ shall have a right of recovery from the _insurer_ to which that write-down order applied, in respect of any amounts paid to it by the _FSCS_ under this Chapter.
2. (2) The _FSCS_ must pursue all and only such recoveries under (1) as it considers are likely to be both reasonably possible and cost effective to pursue.
3. (3) The _FSCS_ may not seek any form of recovery under (1) from current or former _policyholders_ of the _insurer_ to which that _write-down order_ applied (whether or not the _policyholder_ received payment of a _top-up amount_).

4. (4) Chapters 12, 13 and 14 do not apply in respect of amounts paid under this Chapter by the _FSCS_ to an _insurer under write-down_ and their recovery by the _FSCS_.

5A.6

For the purposes of this Chapter, where a _write-down order_ is varied (but not terminated):

1. (1) this Chapter applies as if references to the _write-down order_ were to the order as varied; and
2. (2) the _insurer under write-down_ and the _FSCS_ shall take such steps as may be necessary to amend the _trust deed_ so as to ensure that the arrangements of the trust established under the _trust deed_ reflects the _write-down order_ as varied.

6

Limits when Securing Continuity and Taking Measures in Relation to Relevant Persons in Financial Difficulties

6.1

If the _FSCS_ makes arrangements to:

1. (1) secure continuity of insurance under 4.1; or
2. (2) take measures for the purpose of safeguarding the rights of _eligible claimants_ under 5.1 in respect of a _contract of long-term insurance_ ,

it must ensure that the claimant will receive 100% of any future benefit under his _contract of long-term insurance_ , on terms corresponding in all material respects (so far as it appears to the _FSCS_ to be reasonable in the circumstances), to those which have applied under the _contract of long-term insurance_.

6.2

If the _FSCS_ takes measures for the purpose of safeguarding the rights of _eligible claimants_ under 5.1 in respect of a _contract of general insurance_ :

1. (1) where _claims_ :
 1. (a) arise in respect of a _liability subject to compulsory insurance_ ; or
 2. (b) arise in respect of a _liability_ subject to _professional indemnity insurance_ ; or
 3. (c) arise from the death or incapacity of the _policyholder_ due to injury, sickness, or infirmity; or
 4. (d) arise in respect of a liability subject to _building guarantee insurance_ ;
5. it must ensure that the claimant will receive 100% of any benefit under his _contract of general insurance_ ; and
2. (2) in all other cases, it must ensure that the claimant will receive at least 90% of any benefit under his _contract of general insurance_ ;

and in either case, on terms corresponding in all material respects (so far as it appears to the _FSCS_ to be reasonable in the circumstances), to those which have applied under the _contract of general insurance_.

6.3

If the _FSCS_ secures less than 100% of any benefit of a claimant under a contract falling under 6.2(2), then the _FSCS_ must ensure that any future _premiums_ that the claimant is committed to paying under the contract will be reduced by an equivalent amount to reflect the reduced benefit.

6.4

For the purposes of 4.1(3) and 5.1(1), when assessing the cost of paying compensation under 3.1 ? 3.3, the _FSCS_ may have regard to the likely total cost of paying compensation arising out of the default, not just the compensation amounts likely to be payable to particular _eligible claimants_ covered by the proposed arrangements for continuity.

7

Eligible Claimants

7.1

Unless 7.3 applies, an _eligible claimant_ is any _person_ who at any material time:

1. (1) did not come within 7.2; or
2. (2) did come within 7.2, but satisfied a relevant exception in 8.

7.2

The following _persons_ are not eligible to claim unless an exception in 8.1 ? 8.5 applies:

1. (1) _Firms_ other than a:
 1. (a) _sole trader firm_ ;
 2. (b) _credit union_ ;
 3. (c) trustee of a:
 1. (i) _stakeholder pension scheme_ (which is not an _occupational pension scheme_); or
 2. (ii) _personal pension scheme_ ;
 4. (d) _firm_ carrying on the _regulated activity_ of operating, or winding up, a:
 1. (i) _stakeholder pension scheme_ (which is not an _occupational pension scheme_); or
 2. (ii) _personal pension scheme_ ; or
 5. (e) _small business_ ;
6. in each case, whose _claim_ arises out of a _regulated activity_ for which they do not have a permission).
2. (2) _Overseas financial services institutions_.
3. (3) Collective investment schemes, and anyone who is the operator or trustee of such a scheme.
4. (4) Pension and retirement funds, and anyone who is a trustee of such a fund, other than:
 1. (a) a trustee of a _personal pension scheme_ or a _stakeholder pension scheme_ (which is not an _occupational pension scheme_); or
 2. (b) a trustee of a _small self-administered scheme_ or an _occupational pension scheme_ of an employer which is not a _large company_ , _large partnership_ or _large mutual association_.
5. (5) Supranational institutions, governments, and central administrative authorities.
6. (6) Provincial, regional, local and municipal authorities.
7. (7) _Directors_ of the _relevant person_ (or where applicable, the _successor_) _in default_ , unless:
 1. (a) both of the following apply:
 1. (i) the _relevant person_ (or where applicable, the _successor_) _in default_ is a mutual association which is not a _large mutual association_ ; and
 2. (ii) the _directors_ do not receive a salary or other remuneration for services performed by them for the _relevant person_ (or where applicable, the _successor_) _in default_ ; or
 2. (b) the _relevant person_ (or where applicable, the _successor_) _in default_ is a _credit union_.
8. (8) _Bodies corporate_ in the same _group_ as the _relevant person_ (or where applicable, the _successor_) _in default_ unless that _body corporate_ is:

1. (a) a trustee of:

1. (i) a stakeholder pension scheme (which is not an occupational pension scheme) or a personal pension scheme (but in each case if the trustee is a firm it will only be an eligible claimant if its claim arises out of a regulated activity for which it does not have a permission);

2. (ii) (if the claim is with respect to a contract of long-term insurance) a small self-administered scheme or an occupational pension scheme; or

3. (iii) (if the claim is not with respect to a contract of long-term insurance) a small self-administered scheme or an occupational pension scheme of an employer which is not a large company, large partnership or large mutual association; or

2. (b) carrying on the regulated activity of operating or winding up a stakeholder pension scheme (which is not an occupational pension scheme) or personal pension scheme.

9. (9) Persons who, in the opinion of the FSCS, are responsible for, or have contributed to, the relevant persons (or where applicable, the successor?s) default.

10. (10) Bodies corporate, partnerships, mutual associations and unincorporated associations which are not small businesses.

11. (11) Persons whose claim arises from transactions in connection with which they have been convicted of an offence of money laundering.

12. (12) Persons whose claim arises under the Third Parties (Rights against Insurers) Act 1930 (as amended or replaced).

13. (13) Alternative investment funds and anyone who is the AIFM or depository of an alternative investment fund.

14. (14) Any person who is or was a partner in a partnership, regardless of whether or not that person is or may be personally liable for any act or omission of the partnership, in respect of a contract of insurance entered into by, or for the benefit of, that partnership.

7.3

A person who is a small business is an eligible claimant in respect of a relevant general insurance contract entered into before 1 December 2001 only if the person is a partnership.

8

Exceptions

8.1

A person other than one which comes within any of paragraphs (7), (8), (9) or (11) of 7.2 is eligible to claim compensation in respect of a contract of long-term insurance.

8.2

1. (1) A person falling within paragraphs (1) ? (4) of 7.2 is eligible to claim compensation in respect of a relevant general insurance contract if, at the date the contract commenced, he was a small business.

2. (2) Where the contract has been renewed, the last renewal date shall be taken as the commencement date.

8.3

A person who comes within 7.2(12) is eligible to claim compensation if:

1. (1) the person insured would have been an eligible claimant at the time that his rights against the insurer were transferred to and vested in the person who comes within 7.2(12);

2. (2) the liability of the _person_ insured in respect of the _person_ who comes within 7.2(12) was a liability under a contract of employer's liability insurance which would have been a _liability subject to compulsory insurance_ had the contract been entered into after 1 January 1972 or (for contracts in Northern Ireland) 29 December 1975; or

3. (3) the extent of the liability of the _person_ insured in respect of the _person_ who comes within 7.2(12) had been agreed in writing by the insurer, or determined by a court or arbitrator, before the date on which the insurer is determined to be _in default_.

8.4

A _person_ who comes within 7.2 is eligible to claim compensation in respect of a _liability subject to compulsory insurance_ if the _claim_ is a _claim_ under a _protected contract of insurance_.

8.5

The _FSCS_ may treat a _person_ who comes within paragraph (7) or (9) of 7.2 as eligible to claim compensation where:

1. (1) this is desirable to achieve the efficient performance of any of its functions, including without limitation, to facilitate a transfer of business or any part thereof, to secure the issue of policies by another _firm_ to _eligible claimants_ in substitution for their existing policies, to achieve the efficient payment of compensation, to secure under 4.3 the payment of benefits under a _contract of long-term insurance_ ; and

2. (2) treating these _persons_ as eligible to claim compensation would, in the opinion of the _FSCS_ , be beneficial to the generality of _eligible claimants_ who will be affected by the action in (1).

8.6

8.7 ? 8.12 apply to the _FSCS_ in respect of any claim for a contribution by a _responsible person_ made on or after 25 July 2006 in relation to a _mesothelioma victim's_ claim which is determined by agreement in writing, a court or an arbitrator on or after 3 May 2006.

8.7

In 8.8 ? 8.12, references to an _insurer_ include an _authorised insurance company_ , and references to _in default_ include an _article 9 default_.

8.8

The rules in this Part shall have effect as modified to the extent necessary to enable the _FSCS_ to receive, assess, determine and make payments in respect of applications for compensation from _responsible persons_ in accordance with article 9A of the _compensation transitionals order_ and regulation 3 of the _mesothelioma regulations_.

8.9

The following specific provisions apply in relation to _claims_ of the type referred to in 8.6:

1. (1) a _responsible person_ is eligible to claim in accordance with the provisions of this chapter;

2. (2) subject to (3), the _FSCS_ may pay compensation to a _responsible person_ where it is satisfied that an _eligible claimant_ has a claim under a _protected contract of insurance_ issued by an _insurer_ that is _in default_ , which, but for satisfaction of that claim by the _responsible person_ , the _FSCS_ would have paid;

3. (3) the _FSCS_ may only pay compensation to a _responsible person_ in accordance with (2) if, having satisfied a claim in relation to a _mesothelioma victim_ , he could claim contribution from an _insurer_ that is _in default_ ; and

4. (4) the _FSCS_ may pay compensation in respect of any contribution for which an _insurer_ _in default_ is liable by agreement in writing, or by a determination of a court or arbitrator.

8.10

The requirement in 19.5 to take into account payments to the claimant does not require the _FSCS_ , in paying compensation in respect of such a _claim_ , to take into account payments referred to in that rule made by a _responsible person_ in calculating the claimant's overall _claim_.

8.11

8.6 ? 8.10 also apply to the extent that any liabilities of an _authorised insurance company_ have been assumed by a _successor_.

8.12

The _FSCS_ must not pay, in respect of a claim in accordance with the provisions of 8.6 ? 8.11, more than the amount that it would have paid if the _mesothelioma victim_ (or a _responsible person_ other than an _insurer_ of such a _person_) to whom the contribution claim relates had made that claim directly against the _FSCS_.

9

Protected Claims

9.1

A _protected claim_ is a _claim_ under a _protected contract of insurance_.

9.2

The changes to this rule are effective from 23:00 on 31/12/2020.

A _protected contract of insurance_ is:

1. (A1) (if issued on or after _IP completion day_) a _contract of insurance_ within 9.2A;
2. (1) (if issued after 1 December 2001 and before _IP completion day_) a _contract of insurance_ within 9.3; or
3. (2) (if issued before 1 December 2001) a _contract of insurance_ within 9.6.

9.2A

A _contract of insurance_ issued on or after _IP completion day_ which:

1. (1) relates to a protected risk or commitment as described in 9.2B;
2. (2) was issued by a _relevant person_ (whether or not there is now a _successor_ in respect of that _relevant person_) through an establishment in:
 1. (a) the _UK_ ; or
 2. (b) (in relation only to a _SRO insurer_ or a _CRO insurer_ that (in each case) has no establishment in the _UK_) an _EEA State_ ; or
 3. (c) the Channel Islands or the Isle of Man; or
 4. (d) Gibraltar
3. (3) is a _contract of long-term insurance_ or a _relevant general insurance contract_ ;
4. (4) is not a _reinsurance contract_ ; and
5. (5) if it is a _contract of insurance_ entered into by a _member_ , was entered into on or after 1 January 2004;

is a _protected contract of insurance_.

9.2B

A risk or commitment is a protected risk or commitment for the purpose of 9.2A if:

1. (1) in the case of a _contract of insurance_ falling within 9.2A(2)(a) it is situated in the _UK_, Gibraltar, the Channel Islands or the Isle of Man;
2. (2) in the case of a _contract of insurance_ falling within 9.2A(2)(b) it is situated in the _UK_;
3. (3) in the case of a _contract of insurance_ falling within 9.2A(2)(c) it is situated in the _UK_, the Channel Islands or the Isle of Man;
4. (4) in the case of a _contract of insurance_ falling within 9.2A(2)(d) where the relevant person is a _UK firm_, it is situated in the _UK_ or Gibraltar;
5. (5) in the case of a _contract of insurance_ falling within 9.2A(2)(d) where the relevant person is incorporated in Gibraltar, it is situated in the _UK_ ; or
6. (6) in the case of a _contract of insurance_ falling within 9.2A(2)(d) where the relevant person is a _SRO insurer_ or _CRO insurer_, it is situated in the _UK_.

9.3

The changes to this rule are effective from 23:00 on 31/12/2020.

A _contract of insurance_ issued after 1 December 2001 and before _IP completion day_ which:

1. (1) relates to a protected risk or commitment as described in 9.4;
2. (2) was issued by a _relevant person_ (whether or not there is now a _successor_ in respect of that _relevant person_) through an establishment in:
 1. (a) the _UK_ ; or
 2. (b) an _EEA State_ other than the _UK_ ;
 3. (c) the Channel Islands or the Isle of Man; or
 4. (d) Gibraltar.
3. (3) is a _contract of long-term insurance_ or a _relevant general insurance contract_ ;
4. (4) is not a _reinsurance contract_ ; and
5. (5) if it is a _contract of insurance_ entered into by a _member_, was entered into on or after 1 January 2004;

is a _protected contract of insurance_.

9.4

The changes to this rule are effective from 23:00 on 31/12/2020.

A risk or commitment is a protected risk or commitment for the purpose of 9.3 if:

1. (1) in the case of a _contract of insurance_ falling within 9.3(2)(a), it is situated in the _UK_, Gibraltar, an _EEA State_, the Channel Islands or the Isle of Man;
2. (2) in the case of a _contract of insurance_ where the _relevant person_ was, at the time of issue, a _UK firm_ within the meaning of paragraph 10 of Schedule 3 of _FSMA_ (as in force immediately before _IP completion day_) and issued that _contract of insurance_ through an establishment falling within 9.3(2)(b), it is situated in the _UK_, Gibraltar or an _EEA State_ ;
3. (3) in the case of a _contract of insurance_ where the _relevant person_ was not, at the time of issue, a _UK firm_ within the meaning of paragraph 10 of Schedule 3 of _FSMA_ (as in force immediately before _IP completion day_) and issued that _contract of insurance_ through an establishment falling within 9.3(2)(b) or 9.3(2)(d), it is situated in the _UK_ ; or

4. (4) in the case of a _contract of insurance_ falling within 9.3(2)(c), it is situated in the _UK_ , the Channel Islands or the Isle of Man.

9.5

The changes to this rule are effective from 23:00 on 31/12/2020.

For the purpose of 9.2B, 9.4 and 9.6, the situation of a risk or commitment is determined as follows:

1. (1) for a _contract of insurance_ relating to a building or a building and its contents (in so far as the contents are covered by the same _contract of insurance_), the risk or commitment is situated where the building is situated;
2. (2) for a _contract of insurance_ relating to vehicles of any type, the risk or commitment is situated where the vehicle is registered;
3. (3) for a _contract of insurance_ lasting four months or less covering travel or holiday risks (whatever the class concerned), the risk or commitment is situated where the _policyholder_ took out the _contract of insurance_ ; and
4. (4) in cases not covered by (1) ? (3):
 1. (a) where the _policyholder_ who first took out the _contract of insurance_ is an individual, the risk or commitment is situated where he has his _habitual residence_ at the date when the _contract of insurance_ commenced;
 2. (b) where the _policyholder_ who first took out the _contract of insurance_ is not an individual, the risk or commitment is situated where the establishment to which the risk or commitment relates is situated at the date when the _contract of insurance_ commenced;
 3. (c) where the _policyholder_ who first took out the _contract of insurance_ is a trustee the risk or commitment is situated:
 1. (i) if the trustee is an individual, where the trustee has his _habitual residence_ at the date when the _contract of insurance_ commenced;
 2. (ii) if the trustee is not an individual, where the establishment to which the risk or commitment relates is situated at the date when the _contract of insurance_ commenced; and
 4. (d) where there are two or more _policyholders_ , so long as one _policyholder's_ risk or commitment under (a) ? (c) is a protected risk or commitment, that shall be where the risk or commitment is situated.

9.5A

For the purposes of 9.5(4), where:

1. (1) a contract of insurance is a life policy or pension annuity that relates to benefits a policyholder has accrued as a member of an occupational pension scheme, and
2. (2) the risk or commitment being considered under 9.5 would not otherwise be a protected risk or commitment,

the determination of where the contract of insurance was first taken out must instead be made by reference to the habitual residence of the policyholder at the date the policyholder joined the occupational pension scheme.

9.6

1. (1) If after 1 December 2001, a _relevant person_ (or where applicable, a _successor_) is subject to one or more of the proceedings listed in 10.4 (or 11.4, in the case of a _successor_) or where a _relevant person_ (or where applicable, a _successor_) is declared in default, then a _contract of insurance_ issued by a _relevant person_ before 1 December 2001 which is within (2) is a protected contract of insurance, provided that the _relevant person_ (or where applicable, a _successor_) was not a _member_ at the time the _contract of insurance_ was issued, and:
 1. (a) (unless it comes within (b)) at the earlier of the events in (1) it was a "United Kingdom policy" for the purposes of the Policyholders Protection Act 1975; or
 2. (b) if the _contract of insurance_ is a contract of employers' liability insurance entered into before 1 January 1972 or (for contracts in Northern Ireland) 29 December 1975, and the _claim_ was agreed after the default of the _insurer_ ; the

risk or commitment was situated in the _UK_ (as set out in 9.5).

2. (2) The _contracts of insurance_ referred to in (1) are:

1. (a) a _relevant general insurance contract_ ;
2. (b) a _contract of insurance_ within the _credit_ class; and
3. (c) a _contract of long-term insurance_ ;

which in each case is not a _reinsurance contract_.

9.7

If it appears to the _FSCS_ that a _person_ is insured under a contract which is not evidenced by a policy, and it is satisfied that if a policy evidencing the contract had been issued, the _person_ in question would have had a _protected contract of insurance_ , the _FSCS_ must treat the contract as a _protected contract of insurance_ .

9.8

The _FSCS_ must treat liabilities of a _relevant person_ (or where applicable, a _successor_) which is _in default_ , in respect of the following items, as giving rise to _claims_ under a _protected contract of insurance_ :

1. (1) (if the contract is not a _reinsurance contract_ and has not commenced) _premiums_ paid to a _relevant person_ ;
2. (2) proceeds of a _contract of long-term insurance_ that is not a _reinsurance contract_ and that has matured or been surrendered which have not yet been passed to the claimant;
3. (3) the unexpired portion of any _premium_ in relation to _relevant general insurance contracts_ which are not _reinsurance contracts_ ; or
4. (4) claims by _persons_ entitled to the benefit of a judgement under section 151 of the Road Traffic Act 1988 or Article 98 of the Road Traffic (Northern Ireland) Order 1981.

10

Relevant Persons in Default

10.1

A _relevant person_ is a _person_ who was, at the time the act or omission giving rise to the _claim_ against it took place, a _participant firm_.

10.2

A _relevant person_ is _in default_ if the _FSCS_ has determined it to be _in default_ under 10.3 and/or 10.4.

10.3

Subject to 10.6 and 10.7, and provided that the _FSCS_ is not taking measures for the purpose of safeguarding the rights of _eligible claimants_ in accordance with 5, the _FSCS_ may determine a _relevant person_ to be _in default_ when it is, in the opinion of the _FSCS_ or the _PRA_ :

1. (1) unable to satisfy _protected claims_ against it; or
2. (2) likely to be unable to satisfy _protected claims_ against it.

10.4

The changes to this rule are effective from 23:00 on 31/12/2020.

The _FSCS_ may determine a _relevant person_ to be _in default_ if it is satisfied that a _protected claim_ exists, and

the _relevant person_ is the subject of one or more of the following proceedings in the _UK_ (or of equivalent or similar proceedings in another jurisdiction):

1. (1) the passing of a resolution for a creditors' voluntary winding up;
2. (2) a determination by the _relevant person?s_ regulator or _competent authority_ that the _relevant person_ appears unable to meet _claims_ against it and has no early prospect of being able to do so;
3. (3) the appointment of a liquidator or administrator, or provisional liquidator or interim manager;
4. (4) the making of an order by a court of competent jurisdiction for the winding up of a company, the dissolution of a partnership, the administration of a company or partnership, or the bankruptcy of an individual; or
5. (5) the approval of a company voluntary arrangement, a partnership voluntary arrangement, or of an individual voluntary arrangement.

10.5

For _claims_ arising in connection with a _relevant person_ _in default_ in accordance with this chapter, the _FSCS_ must treat any term in the _relevant person?s_ constitution or in its _contracts of insurance_ , limiting its liabilities under a _contract of long-term insurance_ to the amount of its assets, as limiting its liabilities to any claimant to an amount which is not less than the gross assets of the undertaking.

10.6

The _FSCS_ may not declare a _member_ to be _in default_ unless it is satisfied that the amounts which the _Society_ may provide from the _Central Fund_ are or are likely to be insufficient to ensure that _claims_ against the _member_ under a _protected contract of insurance_ will be met to the level of protection which would otherwise be available under this Part.

10.7

The _FSCS_ may not declare an _insurer under write-down_ to be in default while the _write-down order_ is in effect.

11

Successors in Default

11.1

A _successor_ is a _person_ who has assumed responsibility for liabilities arising from acts or omissions of a _relevant person_.

11.2

Subject to 11.6, a _successor_ is _in default_ if the _FSCS_ has determined it to be _in default_ under 11.3 and/or 11.4.

11.3

The _FSCS_ may determine a _successor_ to be _in default_ when it is, in the opinion of the _FSCS_ , or the _PRA_ :

1. (1) unable to satisfy _protected claims_ against it; or
2. (2) likely to be unable to satisfy _protected claims_ against it.

11.4

The changes to this rule are effective from 23:00 on 31/12/2020.

The _FSCS_ may determine a _successor_ to be _in default_ if it is satisfied that a _protected claim_ exists, and the _successor_ is the subject of one or more of the following proceedings in the _UK_ (or of equivalent or similar proceedings in another jurisdiction):

1. (1) the passing of a resolution for a creditors' voluntary winding up;
2. (2) where relevant, a determination by the _successor?s_ regulator or _competent authority_ that the _successor_ appears unable to meet _claims_ against it and has no early prospect of being able to do so;
3. (3) the appointment of a liquidator or administrator, or provisional liquidator or interim manager;
4. (4) the making of an order by a court of competent jurisdiction for the winding up of a company, the dissolution of a partnership, the administration of a company or partnership, or the bankruptcy of an individual; or
5. (5) the approval of a company voluntary arrangement, a partnership voluntary arrangement, or of an individual voluntary arrangement.

11.5

For _claims_ arising in connection with a _successor_ _in default_ in accordance with this chapter, the _FSCS_ must treat any term in the _successor?s_ constitution or in its _contracts of insurance_, limiting its liabilities under a _contract of long-term insurance_ to the amount of its assets, as limiting its liabilities to any claimant to an amount which is not less than the gross assets of the undertaking.

11.6

The _FSCS_ may not declare a _successor_ that is a _member_ to be _in default_ unless it is satisfied that the amounts which the _Society_ may provide from the _Central Fund_ are or are likely to be insufficient to ensure that _claims_ against the _successor_ that is a _member_ under a _protected contract of insurance_ will be met to the level of protection which would otherwise be available under this Part.

12

Assignment (Automatic, Electronic and in Writing)

12.1

The _FSCS_ must, or if the _FSCS_ is subrogated automatically to the _eligible claimant?s_ rights may, make any payment of compensation to a claimant in respect of a _protected claim_ conditional on the claimant assigning the whole or any part of his rights against the _relevant person_ (or where applicable, the _successor_) or against any third party, or both, to the _FSCS_ on such terms as the _FSCS_ thinks fit.

12.2

Upon payment of compensation by the _FSCS_ (including partial compensation) to an _eligible claimant_ in respect of a _protected claim_, all of that claimant?s rights against the _relevant person_ (or where applicable, the _successor_) and any third party involved in or connected to the _claim_ will be deemed to be automatically assigned by way of legal assignment to the _FSCS_ absolutely on terms published by the _FSCS_.

12.3

Production of a statement showing such payment was made pursuant to 12.2 shall be conclusive evidence (or in Scotland sufficient evidence) that a legal assignment has been deemed to have been made.

12.4

An assignment completed and signed electronically in a form prescribed by the _FSCS_ will be deemed to satisfy the formalities for a valid legal assignment.

12.5

Production of a hard copy of the electronically signed assignment form shall be conclusive evidence (or in Scotland sufficient evidence) that the formalities of a legal assignment have been complied with and that a legal assignment has occurred.

12.6

An assignment completed electronically in the prescribed form shall be treated as having been made by writing under the hand of the assignor for the purposes of section 136 of the Law of Property Act 1925 and any other formal requirement whatsoever without limitation.

12.7

If a claimant assigns the whole or any part of his rights against any person to the FSCS in accordance with this chapter, the effect of this is that any sum payable in relation to the rights so assigned will be payable to the FSCS and not the claimant.

12.8

The FSCS must inform the claimant that if, after taking assignment of rights, the FSCS decides not to pursue recoveries using those rights it will, if the claimant so requests in writing, reassign the assigned rights to the claimant. The FSCS must comply with such a request in such circumstances.

12.9

The changes to this rule are effective from 23:00 on 31/12/2020.

1. (1) The FSCS may determine that:

1. (a) if the claimant does not assign or transfer his rights under this Chapter;
 2. (b) if it is impractical to obtain such an assignment or transfer; and/or
 3. (c) if it is otherwise necessary or desirable in conjunction with the exercise of the FSCS's powers under this Chapter or 13;
2. that claimant shall be treated as having irrevocably and unconditionally appointed the chairman of the FSCS for the time being to be his attorney and agent and on his behalf and in his name or otherwise to do such things and execute such deeds and documents as may be required under such laws of the UK, Gibraltar or any other state or country to create or give effect to such assignment or transfer or otherwise give full effect to those powers.
3. (2) The execution of any deed or document under (1) shall be as effective as if made in writing by the claimant or by his agent lawfully authorised in writing or by will.

13

Automatic Subrogation

13.1

The FSCS's powers in this Chapter may be used:

1. (1) separately or in any combination as an alternative and in substitution for the powers and processes elsewhere in this Part; and/or
2. (2) in relation to all or any part of a protected claim or class of protected claim made with respect to the relevant person (or where applicable, the successor).

13.2

The _FSCS_ may determine that the exercise of any power in this Chapter is subject to such incidental, consequential or supplemental conditions as the _FSCS_ considers appropriate.

13.3

1. (1) Any power conferred on the _FSCS_ to make determinations under this Chapter is exercisable in writing.
2. (2) An instrument by which the _FSCS_ makes the determination must specify the provision under which it is made, the date and time from which it takes effect and the _relevant person_ (or where applicable, the _successor_) and _protected claims_, parts of _protected claims_ and/or classes of _protected claims_ in respect of which it applies.
3. (3) The _FSCS_ must take appropriate steps to publish the determination as soon as possible after it is made. Such publication must be accompanied by a statement explaining the effect of 13.2.
4. (4) Failure to comply with any requirement in this rule does not affect the validity of the determination.
5. (5) A determination by the _FSCS_ under this Chapter may be amended, remade or revoked at any time and subject to the same conditions.

13.4

1. (1) The production of a copy of a determination purporting to be made by the _FSCS_ under this Chapter:
 1. (a) on which is endorsed a certificate, signed by a member of the _FSCS?s_ staff authorised by it for that purpose; and
 2. (b) which contains the required statements;
2. is evidence (or in Scotland sufficient evidence) of the facts stated in the certificate.
3. (2) The required statements are:
 1. (a) that the determination was made by the _FSCS_ ; and
 2. (b) that the copy is a true copy of the determination.
4. (3) A certificate purporting to be signed as mentioned in (1) is to be taken to have been properly signed unless the contrary is shown.
5. (4) A _person_ who wishes in any legal proceedings to rely on a determination may require the _FSCS_ to endorse a copy of the determination with a certificate of the kind mentioned in (1).

13.5

Other provisions in this Part are modified to the extent necessary to give full effect to the powers provided for in this Chapter.

13.6

Other than as expressly provided for, nothing in this Chapter is to be taken as limiting or modifying the rights or obligations of or powers conferred on the _FSCS_ elsewhere in this Part.

13.7

The _FSCS_ may determine that the payment of compensation by the _FSCS_ shall have all or any of the following effects:

1. (1) the _FSCS_ shall immediately and automatically be subrogated, subject to such conditions as the _FSCS_ determines are appropriate, to all or any part (as determined by the _FSCS_) of the rights and claims in the _UK_ and elsewhere of the claimant against the _relevant person_ (or where applicable, the _successor_) and/or any third party (whether such rights are legal, equitable or of any other nature whatsoever and in whatever capacity the _relevant person_ (or where applicable, the _successor_) or third party is acting) in respect of or arising out of the _claim_ in respect of which the determination under 13.2 was made;
2. (2) the _FSCS_ may claim and take legal or any other proceedings or steps in the _UK_ or elsewhere to enforce such

rights in its own name or in the name of, and on behalf of, the claimant or in both names against the _relevant person_ (or where applicable, the _successor_) and/or any third party;

3. (3) the subrogated rights and claims conferred on the _FSCS_ shall be rights of recovery and claims against the _relevant person_ (or where applicable, the _successor_) and/or any third party which are equivalent (including as to amount and priority and whether or not the _relevant person_ (or where applicable, the _successor_) is insolvent) to and do not exceed the rights and claims that the claimant would have had; and/or

4. (4) such rights and/or obligations (as determined by the _FSCS_) as between the _relevant person_ and the claimant arising out of the _protected claim_ in respect of which the determination under 13.2 was made may be transferred to, and subsist between, another _firm_ with an appropriate _permission_ and the claimant provided that the _firm_ has consented (but the transferred rights and/or obligations shall be treated as existing between the _relevant person_ and the _FSCS_ to the extent of any subrogation, transfer or assignment for the purposes of (1) to (3) and 12).

14

Recoveries

14.1

If the _FSCS_ takes assignment or transfer of rights from the claimant or is otherwise subrogated to the rights of the claimant, it must pursue all and only such recoveries as it considers are likely to be both reasonably possible and cost effective to pursue.

14.2

If the _FSCS_ decides not to pursue such recoveries and a claimant wishes to pursue those recoveries himself and so requests in writing, the _FSCS_ must comply with that request and assign the rights back to the claimant.

14.3

If the _FSCS_ makes recoveries in relation to a _claim_ it may deduct from any recoveries paid over to the claimant under 14.4 part or all of its reasonable costs of recovery and distribution (if any).

14.4

If a claimant assigns or transfers his rights to the _FSCS_ or a claimant's rights and claims are otherwise subrogated to the _FSCS_ and the _FSCS_ subsequently makes recoveries through those rights or claims, those recoveries must be paid to the claimant:

1. (1) to the extent that the amount recovered exceeds the amount of compensation (excluding interest paid under 18.6) paid to the claimant in relation to the _protected claim_ in accordance with 18; or
2. (2) in circumstances where the amount recovered does not exceed the amount of compensation paid, to the extent that failure to pay any sums recovered to the claimant would leave a claimant who had promptly accepted an offer of compensation or whose rights and claims had been subrogated to the _FSCS_ at a disadvantage relative to a claimant who had delayed accepting an offer of compensation or whose claims had not been subrogated (in accordance with 14.6).

14.5

For the purpose of 14.4, compensation received by _eligible claimants_ in relation to _Lloyd's policies_ may include payments made from the _Central Fund_.

14.6

The _FSCS_ must endeavour to ensure that a claimant will not suffer disadvantage arising solely from his prompt

acceptance of the _FSCS?s_ offer of compensation or from the subrogation of his rights and claims to the _FSCS_ compared with what might have been the position had he delayed his acceptance or had his claims not been subrogated.

15

Rejection of Application for, and Withdrawal of Offer of Compensation

15.1

If an application for compensation contains any material inaccuracy or omission, the _FSCS_ may reject the application unless this is considered by the _FSCS_ to be wholly unintentional.

15.2

The _FSCS_ must reject an application for compensation if:

1. (1) the _FSCS_ considers that a civil claim in respect of the liability would have been defeated by a defence of limitation at the earlier of:

1. (a) the date on which the _relevant person_ (or where applicable, the _successor_) is determined to be _in default_ ; or

2. (b) the date on which the claimant first indicates in writing that he may have a claim against the _relevant person_ (or where applicable, the _successor_); or

2. (2) the liability of the _relevant person_ (or where applicable, the _successor_) to the claimant has been extinguished by the operation of law.

15.3

The _FSCS_ may withdraw any offer of compensation made to a claimant if the offer is not accepted or if it is not disputed within 90 days of the date on which the offer is made.

15.4

Where the amount of compensation offered is disputed, the _FSCS_ may withdraw the offer but must consider exercising its powers to make a reduced or interim payment under 18.4 or 18.5 before doing so.

15.5

The _FSCS_ may repeat any offer withdrawn under 15.3 or 15.4.

15.6

The _FSCS_ must withdraw any offer of compensation if it appears to the _FSCS_ that no such offer should have been made.

15.7

The _FSCS_ must seek to recover any compensation paid to a claimant if it appears to the _FSCS_ that no such payment should have been made, unless the _FSCS_ believes on reasonable grounds that it would be unreasonable to do so, or that the costs of doing so would exceed any amount that could be recovered.

16

Time Limits on Payment and Postponing Payment

16.1

The _FSCS_ must pay a _claim_ as soon as reasonably possible after:

1. (1) it is satisfied that the conditions in 3.1 have been met; and
2. (2) it has calculated the amount of compensation due to the claimant;

and in any event within three months of that date, unless the _PRA_ has granted the _FSCS_ an extension, in which case payment must be made no later than six months from that date.

16.2

The _FSCS_ may postpone paying compensation if:

1. (1) it considers that the liability to which the _claim_ relates or any part of the liability is covered by another _contract of insurance_ with a solvent _insurance undertaking_ (or where applicable, a _member_), or where it appears that a _person_, other than the liquidator, may make payments or take such action to secure the continuity of cover as the _FSCS_ would undertake;
2. (2) it is not practicable for payment to be made within the usual time limit laid out in 16.1;
3. (3) the claimant has been charged with an offence arising out of or in relation to _money laundering_, and those proceedings have not yet been concluded; or
4. (4) the _claim_ relates solely to a bonus provided for under a _protected contract of insurance_ the value of which the _FSCS_ considers to be of such uncertainty that immediate payment of compensation in respect of that bonus would not be prudent and a court has yet to attribute a value to such bonus.

17

Limits on Compensation Payable

17.1

The limits on the maximum compensation sums payable by the _FSCS_ for _protected claims_ are set out in 17.2.

17.2

1. (1) For a _protected contract of insurance_ when the contract is a _relevant general insurance contract_ :
 1. (a) if the _claim_ :
 1. (i) is in respect of a _liability subject to compulsory insurance_ ; or
 2. (ii) is in respect of a liability subject to _professional indemnity insurance_ ; or
 3. (iii) is in respect of and arises from the death or incapacity of the _policyholder_ due to injury, sickness, or infirmity; or
 4. (iv) is in respect of a liability subject to _building guarantee insurance_ ;
 5. the level of cover is 100% of the _claim_ ; and
2. (b) in all other cases the level of cover is 90% of the _claim_ ; and
3. in each case, cover shall be determined in accordance with 19 and 20 and there is no upper limit on the amount that can be paid.
2. (2) For a _protected contract of insurance_ when the contract is a _contract of long-term insurance_ , the level of cover is 100% of the _claim_ determined in accordance with 19 and 20 and there is no upper limit on the amount that can be paid.

17.3

In applying the financial limits in 17.2 and in calculating the amount of a _claim_ in respect of a _protected contract of

insurance_ arising from the default of one or more _members_ , a _policyholder_ is to be treated as having a single _claim_ for the aggregate of all such amounts as may be payable on the _claim_ in respect of the _protected contract of insurance_.

18

Payment of Compensation

18.1

If the _FSCS_ determines that compensation is payable (or any recovery or other amount is payable by the _FSCS_ to the claimant), it must pay it to the claimant, or if the _FSCS_ so decides, as directed by the claimant, unless:

1. (1) arrangements have or are being made to secure continuity of insurance under 4.1;
2. (1A) the _FSCS_ is taking measures it considers appropriate to safeguard _eligible claimants_ under 5.1;
3. (1B) the _FSCS_ is making payments to an _insurer under write-down_ , or taking any other permitted action in respect of _written-down claims_ of _eligible claimants_ under Chapter 5A; or
4. (2) 18.2 applies.

18.2

Where an _eligible claimant_ has a _claim_ under a _protected contract of insurance_ against a _relevant person_ (or where applicable, the _successor_) that is in administration, provisional liquidation, or liquidation, the _FSCS_ may:

1. (1) make payments to or on behalf of _eligible claimants_ on such terms (including any terms requiring repayment in whole or in part) and on such conditions as it thinks fit (subject to 17); or
2. (2) secure that payments (subject to 17) are made to or on behalf of any such _eligible claimants_ by the liquidator, administrator or provisional liquidator by giving him an indemnity covering any such payments or any class or description of such payments.

18.3

The _FSCS_ may pay compensation in any form and by any method (or any combination of them) that it determines is appropriate including, without limitation:

1. (1) by paying the compensation (on such terms as the _FSCS_ considers appropriate) to an _authorised person_ with _permission_ to _accept deposits_ which agrees to become liable to the claimant in a like sum;
2. (2) by paying compensation directly into an existing deposit account of (or for the benefit of) the claimant, or as otherwise identified by (or on behalf of) the claimant, with an _authorised person_ (but before doing so the _FSCS_ must take such steps as it considers appropriate to verify the existence of such an account and to give notice to the claimant of its intention to exercise this power); and/or
3. (3) (where two or more _persons_ have a joint beneficial _claim_) by accepting communications from and/or paying compensation to any of those _persons_ where this is in accordance with the terms and conditions of the _contract of insurance_.

18.4

If the _FSCS_ is satisfied that in principle compensation is payable in connection with any _protected claim_ , but considers that immediate payment in full would not be prudent because of uncertainty as to the amount of the claimant's overall _claim_ , it may decide to pay an appropriate lesser sum in final settlement, or to make payment on account.

18.5

The _FSCS_ may also decide to make a payment on account or to pay a lesser sum in final settlement if the claimant has any reasonable prospect for recovery in respect of the _claim_ from any third party or by applying for compensation to any other _person_.

18.6

The _FSCS_ may pay interest on the compensation sum in such circumstances as it considers appropriate.

18.7

Interest under 18.6 is not to be taken into account when applying the limits on the compensation sum payable in respect of a _claim_ under 17.

18.8

Where the _FSCS_ considers that the conditions in 18.4 are satisfied but, in relation to a class of _claim_ , in order to provide fair compensation for the generality of such _claims_ it would be appropriate, it may for that class of _claim_ :

1. (1) receive whether by assignment, subrogation, transfer or operation of law the whole or any part of a claimant's rights against the _relevant person_ (or where applicable, the _successor_), or against any third party, or all of them on such terms as the _FSCS_ thinks fit; and
2. (2) disregard the value of the rights so received in determining the claimant's overall _claim_ ;

rather than pay an appropriate lesser sum in final settlement or make a payment on account, for that class of _claims_.

19

Calculating Compensation ? General

19.1

The amount of compensation payable to the claimant in respect of a _protected claim_ is the amount of the overall net _claim_ against the _relevant person_ (or where applicable, the _successor_) at the _quantification date_ and any reference in this Part to overall _claim_ shall be construed accordingly.

19.2

19.1 is, however, subject to the other provisions of this Part, in particular those rules that set limits on the amount of compensation payable for the _protected claim_. The limits are set out in 17.

19.3

A claimant's overall _claim_ is the sum of the _protected claims_ of the same category that he has against a _relevant person_ (or where applicable, a _successor_) _in default_ , less the amount of any liability which the _relevant person_ (or where applicable, the _successor_) may set off against any of those _claims_.

19.4

In calculating the claimant's overall _claim_ , the _FSCS_ may rely, to the extent that it is relevant, on any determination by:

1. (1) a court of competent jurisdiction;
2. (2) a trustee in bankruptcy;
3. (3) a liquidator;
4. (4) any other recognised insolvency practitioner;

and on the certification of any net sum due which is made in default proceedings of any exchange or clearing house.

19.5

Save as provided in 8.10, the _FSCS_ must take into account any payments to the claimant (including amounts recovered by the _FSCS_ on behalf of the claimant) made by the _relevant person_ (or where applicable, the _successor_) or the _FSCS_ or any other _person_ , if that payment is connected with the _relevant person?s_ (or where applicable, the _successor?s_) liability to the claimant in calculating the claimant's overall _claim_.

19.5A

For the purposes of 19.5, where a _relevant person_ was an _insurer under write-down_ and paid a _top-up amount_ in relation to a relevant _claim_ , the _FSCS_ must take that payment into account when calculating the claimant?s overall _claim_.

19.6

The _FSCS_ must calculate the amount of compensation due to the claimant as soon as reasonably possible after it is satisfied that the conditions in 3.1 have been met.

19.7

In calculating the claimant's overall _claim_ the _FSCS_ must take into account the amounts paid by, or expected to be paid by, the _Society_ from the _Central Fund_ to meet a _member's_ liabilities under the contract which gives rise to the _claim_.

19.8

For a _claim_ under a _protected contract of insurance_ that is a _contract of long-term insurance_ , the _FSCS_ must determine as the _quantification date_ a specific date by reference to which the liability of the _relevant person_ (or where applicable, the _successor_) to the _eligible claimant_ is to be determined.

19.9

For a claim under a _protected contract of insurance_ that is a _relevant general insurance contract_ , the _FSCS_ must determine as the _quantification date_ a specific date by reference to which the liability of the _relevant person_ (or where applicable, the _successor_) to the _eligible claimant_ is to be determined.

19.10

For a _claim_ in respect of the unexpired _premiums_ under a _protected contract of insurance_ that is a _relevant general insurance contract_ (treated in accordance with 9.8(3)), the _quantification date_ , being the date by which the liability of the _relevant person_ (or where applicable, the _successor_) to the _eligible claimant_ is to be determined, is the date the policy was terminated or cancelled.

20

The Compensation Calculation

20.1

The _FSCS_ must pay a sum equal to 100% of any liability of a _relevant person_ (or where applicable, a _successor_) in respect of a _liability subject to compulsory insurance_ to the claimant as soon as reasonably practicable after it has determined the _relevant person_ (or where applicable, the _successor_) to be _in default_.

20.2

The _FSCS_ must calculate the liability of a _relevant person_ (or where applicable, the _successor_) to the claimant under a _relevant general insurance contract_ in accordance with the terms of the contract, and (subject to any limits in 17.2(1)) pay that amount to the claimant.

20.2A

Where a _relevant person_ was an _insurer under write-down_ and paid a _top-up amount_ in relation to a _claim_ in respect of a _contract of insurance_ to which this Chapter applies, the _FSCS_ must take that payment into account when calculating the liability under that _contract of insurance_.

20.3

Unless the _FSCS_ is making arrangements to secure continuity of insurance cover under 4.1, the _FSCS_ must calculate the liability of a _relevant person_ (or where applicable, a _successor_) to the claimant under a _contract of long-term insurance_ in accordance with the terms of the contract as it would be valued in a liquidation of the _relevant person_ (or where applicable, the _successor_), or (in the absence of such relevant terms) in accordance with such reasonable valuation techniques as the _FSCS_ considers appropriate.

20.4

1. (1) Unless the _FSCS_ is seeking to secure continuity of cover for a _relevant person_ under 4.1 it must:

1. (a) pay compensation in accordance with 20.3 for any benefit provided for under a protected _contract of long-term insurance_ which has fallen due or would have fallen due under the contract to be paid to any _eligible claimant_ and has not already been paid; and

2. (b) do so, as soon as reasonably practicable after the time when the benefit in question fell due or would have fallen due under the contract (but subject to and in accordance with any other terms which apply or would have applied under the contract).

2. (2) If the _FSCS_ decides to treat the liability of the _relevant person_ (or where applicable, the _successor_) under the contract as reduced or (as the case may be) disregarded under 20.7 then, for the purposes of (1), the value of benefits falling due after the date of that decision must be treated as reduced or disregarded to that extent.

3. (3) Unless it has decided to treat the liability of the _relevant person_ (or where applicable, the _successor_) under the contract as reduced or disregarded under 20.7 the _FSCS_ must not treat as a reason for failing to pay, or for delaying the payment of compensation in accordance with (1), the fact that:

1. (a) it considers that any benefit referred to in (1) is or may be excessive in any respect;

2. (b) it has referred the contract in question to an independent actuary under 20.6; or

3. (c) it considers that it may at some later date decide to treat the liability of the _relevant person_ (or where applicable, the _successor_) under a contract as reduced or (as the case may be) disregarded under 20.7;

4. save where the FSCS decides to exclude certain benefits to the extent that they arise out of the exercise of any option under the policy (for this purpose option includes, but is not restricted to, a right to surrender the policy).

20.5

The _FSCS_ must not treat any bonus provided for under a _contract of long-term insurance_ as part of the claimant's claim except to the extent that:

1. (1) a value has been attributed to it by a court in accordance with the Insurers (Winding Up) Rules 2001 or any equivalent rules or legislative provision in force from time to time; or

2. (2) the _FSCS_ considers that a court would be likely to attribute a value to the bonus if it were to apply the method set out in those rules.

20.6

1. (1) If the _FSCS_ is:

1. (a) seeking to secure continuity of cover under 4.1 or to calculate the liability owed to an _eligible claimant_ under 20.3; and
2. (b) considers that the benefits provided for under a protected _contract of long-term insurance_ are or may be excessive in any respect;
2. it must refer the contract to an actuary who is independent of the _eligible claimant_ and of the _relevant person_ (or where applicable, the _successor_).
3. (2) In this rule and in 20.7, a benefit is only "excessive" if, at the time when the _relevant person_ decided to confer or to offer to confer that benefit, no reasonable and prudent _insurer_ in the position of the _relevant person_ would have so decided given the _premiums_ payable and other contractual terms.

20.7

If the _FSCS_ is satisfied, following the actuary's written recommendation, that any of the benefits provided for under the contract are or may be excessive, it may treat the liability of the _relevant person_ (or where applicable, the _successor_) under the contract as reduced or (as the case may be) disregarded for the purpose of any payment made after the date of that decision.

20.8

The _FSCS_ may rely on the value attributed to the contract by the actuary when calculating the compensation payable to the claimant, or when securing continuity of cover.

20.9

When calculating compensation payable to the claimant in accordance with this Chapter, the _FSCS_ must treat any term in the _relevant person?s_ (or where applicable, the _successor?s_) constitution or in its _contracts of insurance_ , limiting its liabilities under a _contract of long-term insurance_ to the amount of its assets, as limiting its liabilities to any claimant to an amount which is not less than the gross assets of the undertaking.

20.10

If a claimant's _claim_ includes a _claim_ as:

1. (1) trustee; or
2. (2) the _operator_ of, or the _person_ carrying on the _regulated activity_ of winding up, a _stakeholder pension scheme_ (which is not an _occupational pension scheme_) or _personal pension scheme_ ;

the _FSCS_ must treat him in respect of that _claim_ as if his _claim_ was the _claim_ of a different _person_.

20.11

If a claimant has a _claim_ as a bare trustee or _nominee company_ for one or more beneficiaries, for the purpose of calculating compensation, the _FSCS_ must treat the beneficiary or beneficiaries as having the _claim_ , and not the claimant.

20.12

If a claimant has a _claim_ :

1. (1) as the trustee of a _small self-administered scheme_ , or an _occupational pension scheme_ of an employer which is not a _large company_ , _large partnership_ or _large mutual association_ , or the trustee or _operator_ of, or

the _person_ carrying on the _regulated activity_ of winding up a _stakeholder pension scheme_ (which is not an _occupational pension scheme_) or _personal pension scheme_ ;

2. (2) for one or more members of a pension scheme (or, where relevant, the beneficiary of any member) whose benefits are _money-purchase benefits_ ;

for the purpose of calculating compensation, the _FSCS_ must treat the member or members (or, where relevant, the beneficiary of any member) as having the _claim_ , and not the claimant.

20.13

If any group of _persons_ has a _claim_ as:

1. (1) trustees; or
2. (2) operators of, or as _persons_ carrying on the _regulated activity_ of winding up, a _stakeholder pension scheme_ (which is not an _occupational pension scheme_) or a _personal pension scheme_ ;

(or any combination thereof), the _FSCS_ must treat them as a single and continuing _person_ distinct from the _persons_ who may from time to time be the trustees, _operators_ or _persons_ winding up the relevant pension scheme.

20.14

Where the same _person_ has a _claim_ as:

1. (1) trustee for different trusts or for different _stakeholder pension schemes_ (which are not _occupational pension schemes_) or _personal pension schemes_ ; or
2. (2) the _operator_ of, or the _person_ carrying on the _regulated activity_ of winding up, different _stakeholder pension schemes_ (which are not _occupational pension schemes_) or _personal pension schemes_ ;

this Chapter applies as if the _claims_ relating to each of these trusts or schemes were claims of different _persons_.

20.15

Where the claimant is a trustee, and some of the beneficiaries of the trust are _persons_ who would not be _eligible claimants_ if they had a claim themselves, the _FSCS_ must adjust the amount of the overall _claim_ to eliminate the part of the claim which, in the _FSCS's_ view, is a claim for those beneficiaries.

20.16

Where any of the provisions of 20.10 ? 20.15 apply, the _FSCS_ must try to ensure that any amount paid to:

1. (1) the trustee; or
2. (2) the _operator_ of, or the _person_ carrying on the _regulated activity_ of winding up, a _stakeholder pension scheme_ (which is not an _occupational pension scheme_) or _personal pension scheme_ ;
3. is, in each case:
4. (3) for the benefit of members or beneficiaries who would be eligible claimants if they had a claim themselves; and
5. (4) no more than the amount of the loss suffered by those members or beneficiaries.

20.17

Where a ___person_ numbers among his _claims_ a _claim_ as the personal representative of another, the _FSCS_ must treat him in respect of that _claim_ as if he were standing in the shoes of that other _person_.

20.18

If a claimant has a _claim_ under a _contract of insurance_ as agent for one or more _persons_, for the purpose of calculating compensation, the _FSCS_ must treat each _person_ as having the _claim_, not the claimant.

20.19

If two or more _persons_ have a joint beneficial _claim_, the _claim_ is to be treated as a _claim_ of the partnership if they are carrying on business together in partnership. Otherwise each of those _persons_ is taken to have a _claim_ for his share, and in the absence of satisfactory evidence as to their respective shares, the _FSCS_ must regard each _person_ as entitled to an equal share.

20.20

In applying this Part to _claims_ arising out of business done with a branch or establishment of the _relevant person_ (or where applicable, the _successor_) outside the _UK_, the _FSCS_ must interpret references to:

1. (1) persons entitled as personal representatives, trustees, bare trustees or agents, _operators_ of _pension schemes_ or _persons_ carrying on the _regulated activity_ of winding up _pension schemes_; or
2. (2) _persons_ having a joint beneficial _claim_ or carrying on business in partnership;

as references to _persons_ entitled, under the law of the relevant country or territory, in a capacity appearing to the _FSCS_ to correspond as nearly as may be to that capacity.

21

FSCS Levies

21.1

If a _participant firm_ does not pay the total amount of the _participant firm's_ share of the _FSCS_ levy, before the end of the date on which it is due, under the relevant provision in this Part, that _participant firm_ must pay an additional amount as follows:

1. (1) if the share of the _FSCS_ levy owing was not paid in full before the end of the due date, an administrative fee of £250; plus
2. (2) interest on any unpaid part of the share of the _FSCS_ levy owing at the rate of 5% per annum above the Official Bank Rate from time to time in force, accruing on a daily basis from the date on which the amount concerned became due.

21.2

If it appears to the _PRA_ or the _FSCS_ that in the exceptional circumstances of a particular case, the payment of any _FSCS_ levy would be inequitable, the _PRA_ or the _FSCS_ may (unless 21.4 applies) reduce or remit all or part of the levy in question which would otherwise be payable.

21.3

If it appears to the _PRA_ or the _FSCS_ that in the exceptional circumstances of a particular case to which 21.2 does not apply, the retention by the _FSCS_ of any _FSCS_ levy which has been paid would be inequitable, the _FSCS_ may (unless 21.4 applies) refund all or part of that fee or levy.

21.4

The _PRA_ or the _FSCS_ may not consider a claim under 21.2 and/or 21.3 to reduce, remit or refund any overpaid amounts paid by a fee or levy payer in respect of a particular period, due to a mistake of fact or law by the fee or levy payer, if the claim is made by the fee or levy payer more than 2 years after the beginning of the period to which the

overpayment relates.

21.5

1. (1) A _participant firm_ which does not conduct business that could give rise to a _protected claim_ by an _eligible claimant_ and has no reasonable likelihood of doing so is exempt from a _specific costs levy_ , or a _compensation costs levy_ , or both, provided that:

1. (a) it has notified the _FSCS_ in writing that those conditions apply, and has received written confirmation from _FSCS_ that those conditions apply; and

2. (b) the conditions in fact continue to apply.

2. (2) The exemption takes effect from the date on which the _participant firm_ receives confirmation from the _FSCS_ that those conditions apply.

21.6

A _participant firm_ which is exempt under 21.5 must notify the _FSCS_ in writing as soon as reasonably practicable if the conditions in 21.5 no longer apply.

21.7

If a _participant firm_ ceases to conduct business that could give rise to a _protected claim_ by an _eligible claimant_ and notifies the _FSCS_ of this under 21.5(1)(a), it will be treated as a _participant firm_ to which 21.48 applies until the end of the financial year of the _compensation scheme_ in which the notice was given.

21.8

For the purposes of 21.5, a _participant firm_ will only be exempt from a _specific costs levy_ or _compensation costs levy_ for any given financial year if it met the conditions in 21.5 on 31 March of the immediately preceding financial year.

21.9

The _FSCS_ may at any time impose a _management expenses levy_ or a _compensation costs levy_ , provided that the _FSCS_ has reasonable grounds for believing that the funds available to it to meet relevant expenses are, or will be, insufficient, taking into account expenditure already incurred, actual and expected recoveries and:

1. (1) in the case of a _management expenses levy_ , the level of the _FSCS's_ expected expenditure in respect of those expenses in the financial year of the _compensation scheme_ in relation to which the levy is imposed;

2. (2) in the case of a _compensation costs levy_ relating to _protected claims_ :

1. (a) the _FSCS's_ expenditure in respect of _compensation costs_ expected in the 12 _months_ following the levy; or, if greater

2. (b) one third of the _FSCS's_ expenditure in respect of _compensation costs_ expected in the 36 _months_ following the levy.

21.10

In the calculation of levies, the _FSCS_ will also take into account previous levies, where funds raised in anticipation of meeting liabilities prove either more or less than the amount actually required.

21.11

The maximum aggregate amount of _compensation costs_ and _specific costs_ for which the _FSCS_ can levy each _insurance class_ in any one financial year of the _compensation scheme_ is limited to the amounts set out in the table in Annex 1.

21.12

The _FSCS_ may include in a _compensation costs levy_ the costs of compensation paid by the _FSCS_ in error, provided that the payment was not made in bad faith.

21.13

The _FSCS_ must hold any amount collected from a _specific costs levy_ or _compensation costs levy_ to the credit of the _insurance classes_ in accordance with the allocation established under 21.31 and 21.35.

21.14

Any funds received by the _FSCS_ by way of levy or otherwise for the purposes of the _policyholder protection scheme_ are to be managed as the _FSCS_ considers appropriate, and in doing this the _FSCS_ must act prudently.

21.15

Interest earned by the _FSCS_ in the management of funds held to the credit of an ___insurance class_ must be credited to that _insurance class_, and must be set off against the _management expenses_ or _compensation costs_ allocated to that _insurance class_.

21.16

The _FSCS_ must keep accounts which include:

1. (1) the funds held to the credit of each _insurance class_; and
2. (2) the liability of that _insurance class_.

21.17

1. (1) The _FSCS_ may use any money held to the credit of one _insurance class_ (the creditor _insurance class_) to pay _compensation costs_ or _specific costs_ attributable or allocated by way of levy to the other _insurance class_ (the debtor _insurance class_) if the _FSCS_ has reasonable grounds to believe that this would be more economical than borrowing funds from a third party or raising a levy.
2. (2) Where the _FSCS_ acts in accordance with (1), it must ensure that:
 1. (a) the creditor _insurance class_ is reimbursed by the debtor _insurance class_ as soon as possible;
 2. (b) the debtor _insurance class_ pays interest at a rate equivalent to the Bank of England's repo rate from time to time in force; and
 3. (c) the amount lent by the creditor _insurance class_ to the debtor _insurance class_ is taken into account by the _FSCS_ when considering whether to impose a _compensation costs levy_ on the creditor _insurance class_ under 21.9.

21.18

Unless 21.19 applies, any recoveries made by the _FSCS_ in relation to _protected claims_ must be credited to the _insurance classes_ to which the related _compensation costs_ was attributable.

21.19

1. (1) Where the _FSCS_ makes recoveries in relation to _protected claims_ where a related _compensation costs levy_ would have been allocated to a _insurance class_ (class X) had the _levy limit_ for class X not been reached and has been allocated to the other _insurance class_, the recoveries must be applied:
 1. (a) first, to the _insurance class_ to which the costs levied were allocated in the same proportion as that _insurance class_ contributed, up to the total amount of that allocation plus interest at a rate equivalent to the Bank of England's

Official Bank Rate from time to time in force; and

2. (b) thereafter, to class X.

2. (2) This rule applies even though the recovery is made in a subsequent financial year.

21.20

Recoveries under 21.19 are net of the costs of recovery.

21.21

If the _FSCS_ has more funds (whether from levies, recoveries or otherwise) to the credit of an _insurance class_ than the _FSCS_ believes will be required to meet levies on that _insurance class_ for the next 12 _months_, it may refund the surplus to members or former members of the _insurance class_ on any reasonable basis.

21.22

The _FSCS_ may adjust the calculation of a _participant firm's_ share of any levy imposed in accordance with this Chapter to take proper account of:

1. (1) any excess, not already taken into account, between previous levies of that type imposed in relation to previous periods and the relevant costs actually incurred in that period;
2. (2) participant firms that are exempt from the levy under 21.5 to 21.8;
3. (3) amounts that the _FSCS_ has not been able to recover from _participant firms_ as a result of 21.11;
4. (4) amounts that the _FSCS_ has not been able to recover from _participant firms_ after having taken reasonable steps;
5. (5) 21.25, 21.33 or 21.40; or
6. (6) anything else that the _FSCS_ believes on reasonable grounds should be taken into account.

21.23

The _FSCS_ may not adjust the calculation of a _participant firm's_ share of any levy imposed under this Chapter under 21.22 on the grounds that it would be inequitable for that _firm_ to pay that share or part of it or on the grounds that it would be inequitable for the _FSCS_ to retain that share or part of it.

21.24

1. (1) This rule applies to the calculation of the levies of a _firm_ (A) if:

1. (a) A:

1. (i) acquires all or a part of the business of another _firm_ (B), whether by merger, acquisition, goodwill or otherwise; or

2. (ii) becomes authorised as a result of B's simple change of legal status (as defined in Fees 4.5 (4));

2. (b) B is no longer liable to pay a levy; and

3. (c) that acquisition or change takes place after the date to which, or as of which, A's most recent statement of business under 21.42A is drawn up so far as concerns the _insurance classes_ covered by B's business.

2. (2) A must pay an additional amount equal to the levy that would have been payable by B in relation to the relevant business and relevant _insurance class_ if the acquisition or change in legal status had not taken place and B had remained liable to pay levies. The amount is based on the most recent information supplied by B under 21.42A. A is included in the _insurance classes_ applicable to the relevant business.

3. (3) This rule only applies with respect to those financial years of the _FSCS_ for which A's levies are calculated on the basis of a statement of business under 21.42A drawn up to a date.

21.25

If a _participant firm's_ share of a levy or an additional administrative fee under 21.42A would be so small that, in the opinion of the _FSCS_, the costs of collection would be disproportionate to the amount payable, the _FSCS_ may treat the _participant firm_ as if its share of the levy or additional administrative fee amounted to zero.

21.26

The _FSCS_ may impose a levy on the _Society_ to be calculated as the aggregate of the levies that would be imposed on each _member_ if this Chapter applied to _members_, as follows:

1. (1) a proportionate share of a _base costs levy_ in respect of the _compensation scheme's_ costs for the period from 1 January 2004 to the end of the _compensation scheme's_ financial year and a share of such levies for all subsequent financial years; and
2. (2) a _specific costs levy_ and a _compensation costs levy_ in respect of costs arising out of a _relevant person_ being _in default_, arrangements made under 4.1 or measures taken under 5.1 where:
 1. (a) the default occurs or the circumstances giving rise to the arrangements being made or the measures being taken, as the case may be, occur; and
 2. (b) the _protected contracts of insurance_ in connection with which the costs arise were entered into;

on or after 1 January 2004.

21.27

A _participant firm_ must pay to the _FSCS_ a share of each _management expenses levy_.

21.28

A _participant firm's_ share of a _management expenses levy_ consists of one or more of:

1. (1) a share of a _base costs levy_; and
2. (2) a share of a _specific costs levy_.

21.29

The _FSCS_ must ensure that each _participant firm's_ share of a _management expenses levy_ separately identifies the _firm's_ share of the _base costs levy_ and _specific costs levy_.

21.30

Subject to 21.25, the _FSCS_ must calculate a _participant firm's_ share of a _base costs levy_ in accordance with the FSCS Management Expenses Levy Limit and Base Costs Part.

21.31

The _FSCS_ must allocate any _specific costs levy_ amongst the relevant _insurance class_ in proportion to the amount of relevant costs arising from the different activities for which _firms_ in that _insurance class_ has _permission_ up to the _levy limit_ of the relevant _insurance class_.

21.32

The _FSCS_ must calculate a _participant firm's_ share of a _specific costs levy_ (subject to 21.24) by:

1. (1) identifying each relevant _insurance class_ to which the _participant firm_ belongs, using the statement of business most recently supplied under 21.42A;
2. (2) identifying the _management expenses_ other than _base costs_ which the _FSCS_ has incurred, or expects to incur, in the relevant financial year of the _compensation scheme_, allocated to the _insurance classes_ identified in

(1), but not yet levied;

3. (3) calculating, in relation to each relevant _insurance class_, the _participant firm's_ tariff base (see Annex 2) as a proportion of the total tariff base of all _participant firms_ in the _insurance class_, using the statement of business most recently supplied under 21.42A;

4. (4) applying the proportion calculated in (3) to the figure in (2); and

5. (5) if more than one _insurance class_ is relevant, adding together the figure in (4) for each _insurance class_.

21.33

A _firm_ which becomes a _participant firm_ part way through a financial year of the _compensation scheme_ will not be liable to pay a share of a _specific costs levy_ made in that year.

21.34

1. (1) This rule deals with the calculation of:

1. (a) a _participant firm's_ _specific costs levy_ in the financial year of the _FSCS_ following the _FSCS_ financial year in which it became a _participant firm_; or

2. (b) a _participant firm's_ _specific costs levy_ in the financial year of the _FSCS_ in which it had its _permission_ extended, and the following _FSCS_ financial year; and

3. (c) the tariff base for the _insurance classes_ that relate to the relevant _permissions_ or extensions, as the case may be.

2. (2) Unless this rule says otherwise the tariff base is calculated, where necessary, using the projected valuation of the business to which the tariff relates.

3. (3) The rest of this rule only applies to a _firm_ that becomes a _participant firm_, or extends its _permission_, on or after 1 April 2009:

1. (a) If a _participant firm's_ tariff base is calculated using data from a period that begins on or after it became a _participant firm_ or on or after the date that the _participant firm_ receives its extension of _permission_, as the case may be, the _participant firm_ must use that data.

2. (b) If a _participant firm_ satisfies the following conditions it must calculate its tariff base under (c) for the _FSCS_ financial year following the _FSCS_ financial year it became a _participant firm_ :

1. (i) it became a _participant firm_ or receives its extension of _permission_, as the case may be, between 1 April and 31 December inclusive; and

2. (ii) its tariff base, but for this rule, is calculated by reference to the financial year ended in the calendar year ending 31 December or the twelve _months_ ending 31 December before the _FSCS_ financial year.

3. (c) If a _participant firm_ satisfies the conditions in (b) it must calculate its tariff base as follows:

1. (i) it must use actual data in relation to the business to which the tariff rather than projected valuations;

2. (ii) the tariff is calculated by reference to the period beginning on the date it became a _participant firm_ or had its _permission_ extended, and ending on the 31 December before the start of the _FSCS_ financial year; and

3. (iii) the figures are annualised by increasing them by the same proportion as the period of 12 _months_ bears to the period starting from when the _participant firm_ became a _participant firm_ or had its _permission_ extended to 31 December, as the case may be.

4. (d) Where a _participant firm_ is required to use a method in (c) it must notify the _FSCS_ of its intention to do so by the date specified in 21.42A.

5. (e) Where a _participant firm_ is required to use actual data under this rule, Annex 2 is disapplied, to the extent it is incompatible, in relation to the calculation of that _participant firm's_ valuation date in its second financial year.

21.35

The _FSCS_ must allocate any _compensation costs levy_ to the relevant _insurance classes_ in proportion to the amount of _compensation costs_ arising from, or expected to arise from, claims in respect of the different activities for

which _firms_ in those _insurance classes_ have _permission_ up to the _levy limit_ of each relevant _insurance class_.

21.36

If a _participant firm_ which is _in default_ has carried on a _regulated activity_ other than in accordance with a _permission_, the _FSCS_ must treat any _compensation costs_ or _specific costs_ arising out of that activity as if the relevant _permission_ were held by the _participant firm_.

21.37

A _participant firm_ must pay to the _FSCS_ a share of each _compensation costs levy_ allocated to the _insurance classes_ of which it is a member unless the _firm_ is exempt under 21.5 to 21.8 or the FSCS has chosen to exercise its discretion under 21.25 in respect of that _firm_.

21.38

The _FSCS_ must calculate each _participant firm's_ share of a _compensation costs levy_ (subject to 21.22) by:

1. (1) identifying each of the _insurance classes_ to which each _participant firm_ belongs, using the statement of business most recently supplied under 21.42A;
2. (2) identifying the _compensation costs_ falling within 21.35 allocated, in accordance with 21.32, to the _insurance classes_ identified in (1);
3. (3) calculating, in relation to each relevant _insurance class_, the _participant firm's_ tariff base (see Annex 2) as a proportion of the total tariff base of all _participant firms_ in the _insurance class_, using the statement of business most recently supplied under 21.42A;
4. (4) applying the proportion calculated in (3) to the figure in (2); and
5. (5) if more than one _insurance class_ is relevant, adding together the figure in (4) for each _insurance class_.

21.39

When calculating a _participant firm's_ share of a _compensation costs levy_ or _specific costs levy_ allocated to each _insurance class_ the _FSCS_ must use the _insurance classes_ and tariff bases as set out in the table in Annex 2.

21.40

A _firm_ which becomes a _participant firm_ part way through a financial year of the _compensation scheme_ will not be liable to pay a share of a _compensation costs levy_ made in that year.

21.41

21.34 applies to the calculation of a _participant firm's_ _compensation costs levy_ and its tariff base as it applies to the calculation of its _specific costs levy_.

21.42

[deleted]

21.42A

1. (1) Unless exempt under 21.5, a _participant firm_ must provide the _FSCS_ by the end of May each year (or, if it has become a _participant firm_ part way through the financial year, by the date requested by the _PRA_) with a statement of:

1. (a) the _insurance class_ to which it belongs; and
2. (b) the total amount of business (measured in accordance with the appropriate tariff base or tariff bases) which it

conducted, in respect of the most recent valuation period (as specified by Annex 2) ending before the relevant year in relation to each _insurance class_.

2. (2) In this rule and 21.44A the relevant year means the year in which the _month_ of May referred to in (1) falls.

21.43

If the information in 21.42A has been provided to the _PRA_ under other rule obligations, a _participant firm_ will be deemed to have complied with 21.42A.

21.44

If a _participant firm_ does not submit a complete statement by the date on which it is due in accordance with 21.42A and any prescribed submission procedures:

1. (1) the _firm_ must pay an administrative fee of £250 (but not if it is already subject to an administrative fee for non-submission of data in the same financial year required under this Part, or any other _PRA_ rule or rule in the FCA Handbook); and

2. (2) the _compensation costs levy_ and any _specific costs levy_ will be calculated using (where relevant) the valuation or valuations of business applicable to the previous period, multiplied by a factor of 1.10 (or if it has become a _participant firm_ part way through the financial year, on the basis of information provided to the _PRA_ for the purposes of Fees or on any other reasonable basis, making such adjustments as seem appropriate in subsequent levies once the true figures are known).

21.44A

In the event of a _compensation costs levy_ and any _specific costs levy_ being made in a financial year of the _compensation scheme_ before a _participant firm_ has submitted a complete statement in accordance with 21.42A, the _compensation costs levy_ and any _specific costs levy_ should be calculated using the statement of business submitted in respect of the previous valuation period.

21.45

A _participant firm_ must pay its share of any levy made by the _FSCS_ in one payment.

21.46

A _participant firm's_ share of a levy to which 21.45 applies is due on, and payable within 30 days of, the date when the invoice is issued.

21.47

A _participant firm_ liable to pay its share of the levy under 21.45 must do so using one of the methods specified by the _PRA's_ collection agent for fees as required by Fees 2.5 save that no additional amount or discount is applicable.

21.48

If a _firm_ ceases to be a _participant firm_ or carries out activities within one or more _insurance classes_ part way through a financial year of the _compensation scheme_ :

1. (1) it will remain liable for any unpaid levies which the _FSCS_ has already made on the _firm_ ; and

2. (2) the _FSCS_ may make one or more levies upon it (which may be before or after the _firm_ has ceased to be a _participant firm_ or carry out activities within one or more _insurance classes_ , but must be before it ceases to be an _authorised person_) for the costs which it would have been liable to pay had the _FSCS_ made a levy on all _participant firms_ or _firms_ carrying out activities within that _insurance class_ in the financial year it ceased to be a _participant firm_ or carry out activities within that _insurance class_.

22

Transitional Arrangements

22.1

With effect on and from 3 July 2015, the rules in this Part apply to defaults or circumstances giving rise to arrangements made under 4.1 or measures taken under 5.1 or other such actions of the _FSCS_ or any levy levied by the _FSCS_.

22.2

Prior to 3 July 2015, the rules in _COMP_ and/or _FEES_ (as the case may be) apply to defaults or circumstances giving rise to arrangements made under _COMP_ 3.3.1R or to measures taken under _COMP_ 3.3.3R or other such actions of the _FSCS_ or any levy levied by the _FSCS_.

22.3

In this Part:

1. (1) subject to (3), a _claim_ under a _protected contract of insurance_ includes a _claim_ in respect of an _article 9 default_ ;
2. (2) where the _claim_ is in respect of an _article 9 default_ , the _FSCS_ must apply the rules of the _relevant former scheme_ , as they applied to the default before 1 December 2001 unless (3) applies;
3. (3) a _claim_ must be treated as a _claim_ in relation to a _protected contract of insurance_ under 9.6 if the conditions in article 9A or 10(1)(a)?(d) of the _compensation transitionals order_ are satisfied.

22.4

The rules of the _Friendly Societies Protection Scheme_ are amended so that:

1. (1) references to the person managing the scheme are replaced by references to the ___FSCS_ ; and
2. (2) references to functions conferred upon the Friendly Societies Protection Scheme Board are replaced by references to functions conferred upon the _FSCS_.

22.5

1. (1) Any recoveries made by the _FSCS_ after 31 March 2008 in relation to _protected claims_ compensated prior to 1 April 2008, the costs of which were allocated to the relevant _contribution group_ in place at the time, must be credited to the _insurance class_ in place after 31 March 2008 to which the costs of the _protected claims_ would have been allocated had it been compensated after that date, or if relevant, in accordance with _FEES_ 6.3.20 R.
2. (2) (1) does not apply to the extent that it is inconsistent with the _compensation transitionals order_.

22.6

For the purpose of _FEES_ 6.5.13 R as it applied with respect to the _FSCS?s_ financial year beginning on 1 April 2008, references in _FEES_ 6.5.13 R to an _insurance class_ must be read as references to an _insurance class_ to which a _participant firm_ belonged to on or after 31 March 2008.

22.7

The amendments made by the Fees Manual (FSCS Funding) Instrument 2007 to:

1. (1) FEES 6.5.16 R only has effect before 1 April 2008 for the purpose of _FSCS?s_ financial year beginning on 1 April 2008;

2. (2) FEES 6 applies to any levy made after 31 March 2008. This is so even if:

1. (a) the _claim_ against the _participant firm_ in default_ arose or relates to circumstances arising before that date;
2. (b) the _participant firm_ was _in default_ before that date; or
3. (c) the levy relates to arrangements made or measures taken under _COMP_ 3.3 before that date.

22.8

1. (1) This rule adjusts the calculation of the tariff base for _insurance classes_ B1 (General insurance provision) and C1 (Life and pensions provision). It applies if the _participant firm_ is in run-off and has been in run-off since 1 November 2008.

2. (2) The whole of the levy is calculated by reference to relevant net premium income (calculated in accordance with Annex 2) instead of being split 75:25 between relevant net premium income and eligible liabilities (calculated in accordance with Annex 2).

3. (3) A _participant firm_ is in run-off for these purposes if:

1. (a) it has ceased to effect new _contracts of insurance_;
2. (b) its _permission_ for _effecting contracts of insurance_ has been cancelled;
3. (c) its exclusive remaining business is administering its remaining insurance liabilities; and
4. (d) where it is required to supply one, it has supplied a run-off plan under:
 1. (i) for a _UK Solvency II firm_ and a _third country branch undertaking_ (other than a _Swiss general insurer_), Run-Off Operations in the Solvency II Firms Sector; or
 2. (ii) for a non-directive insurer, Non-Solvency II Firms ? Run-Off Operations in the Non-Solvency II Firms Sector.

23

Transitional Arrangements for FSCS Levy Year 2017/18 [deleted]

23.1

[deleted]

23.2

[deleted]

23.3

[deleted]

23.4

[deleted]

23.5

[deleted]

23.6

[deleted]

Annex 1: Maximum Levy Limit

INSURANCE CLASS| LEVY LIMIT (£ MILLION)

---|---

B1: GENERAL INSURANCE PROVISION | 600

C1: LIFE AND PENSIONS PROVISION | 690

Annex 2: Methodology for Calculation of a Participant Firm's Levy Share

The changes to this annex are effective from 23:00 on 31/12/2020.

Insurance Class B1| General Insurance Provision

---|---

Firms with permission for: |

1. (1) _effecting contracts of insurance_ ; and/or
2. (2) _carrying out contracts of insurance_ ;

that are _contracts of general insurance_.

Tariff base | Insurance Class B1: Relevant net premium income and eligible liabilities. The levy is split into two in the ratio 75:25. The tariff base for the first portion (75%) is calculated by reference to relevant net premium income. The tariff base for the second portion (25%) is based on eligible liabilities. Relevant net premium income is calculated in accordance with the method applicable to the _firm_ for calculating ?gross written premium for fees purposes? in Fees 1.2 and Fees 3.4 (2) (b) with the following adjustments:

1. (1) Relevant net premium income is calculated by reference to either (at the election of the _firm_):
 1. (a) the premium income in respect of _protected contracts of insurance_ of a _firm_ ; or
 2. (b) the premium income in respect of _protected contracts of insurance_ with _eligible claimants_ of a _firm_ ;
2. in the year preceding that in which the date for submission of the information under 21.42A falls, net of any relevant rebates or refunds.
3. (2) [deleted.]

Eligible liabilities are calculated in accordance with the method applicable to the _firm_ for calculating ?best estimate liabilities for fees purposes? in Fees 1.2 and Fees 3.4 (2) (b) with the following adjustments:

1. (1) Eligible liabilities are calculated by reference to _protected contracts of insurance_ with _eligible claimants_.
2. (2) A _participant firm_ may choose not to apply paragraph (1) and instead include all liabilities that it would be obliged to take into account for fee block A3 as long as the amount that it would include under (1) is lower.
3. (3) [deleted.]
4. (4) [deleted.]
5. (5) A _directive friendly society_ must also calculate eligible liabilities in accordance with this table.
6. (6) A _non-directive friendly society_ must calculate liabilities as the amount that it is required to show in FSC 2 - Form 9 line 11 in Friendly Society ? Reporting 4.1 (Other than long term insurance business assets allocated towards the general insurance business required minimum margin) in relation to the most recent financial year of the _participant firm_ (as at the applicable reporting date under 21.42A) for which the _participant firm_ is required to have reported that information to the _PRA_ under Friendly Society ? Reporting. A _non-directive friendly society_ must disregard for this purpose such amounts as are not required to be included by reason of a _waiver_.

Insurance Class C1| Life and Pensions Provision

---|---

Firms with permission for: | (1) _effecting contracts of insurance_ ; and/or

(2) _carrying out contracts of insurance_ ;

that are _contracts of long-term insurance_ (including _pure protection contracts_).

Tariff base | Insurance Class C1: Relevant net premium income and eligible liabilities. The levy is split into two in the ratio 75:25. The tariff base for the first portion (75%) is calculated by reference to relevant net premium income. The tariff base for the second portion (25%) is based on eligible liabilities. Relevant net premium income is calculated in accordance with the method applicable to the _firm_ for calculating 'gross written premium for fees purposes' in Fees 1.2 and Fees 3.4 (3) (c) with the following adjustments:

1. (1) in relation to business which is not _occupational pension fund management business_, relevant premium income is calculated by reference to either (at the election of the _firm_):
 1. (a) the premium income in respect of _protected contracts of insurance_ of a _firm_ ; or
 2. (b) the premium income in respect of _protected contracts of insurance_ with _eligible claimants_ of a _firm_ ; or
2. (2) in relation to _occupational pension fund management business_ the _remuneration_ retained by a _firm_ in relation to its carrying on _occupational pension fund management business_ ;
3. in the year preceding that in which the date for submission of the information under 21.42A falls, net of any relevant rebates or refunds.
4. (3) A _participant firm_ which is a non-directive insurer, excluding a _non-directive friendly society_ must calculate relevant net premium income as the amount it is required to show in Form 41, line 19, column 4 in Insurance Company ? Reporting 13.1 in relation to the most recent financial year of the _firm_ (as at the applicable reporting date under 21.42A) for which the _firm_ is required to have reported that information to the _PRA_ under Insurance Company ? Reporting 5.7.
5. (4) A _participant firm_ which is a _non-directive friendly society_ must calculate relevant net premium income as the income and expenditure account entry for gross premium written or contributions as income receivable, as appropriate under the Friendly Society (Accounts and Related Provisions) Regulation 1994.
6. (5) [deleted.]

Eligible liabilities are calculated in accordance with the method applicable to the _firm_ for calculating 'best estimate liabilities for fee purposes' as defined in Fees 1.2 and Fees 3.4 (3) (c) with the following adjustments.

1. (1) Eligible liabilities are calculated by reference to _protected contracts of insurance_ with _eligible claimants_.
2. (2) A _participant firm_ may choose not to apply paragraph (1) and instead include all liabilities that it would be obliged to take into account for fee block A4 as long as the amount that it would include under (1) is lower.
3. (3) [deleted.]
4. (4) [deleted]
5. (5) A _directive friendly society_ must also calculate eligible liabilities in accordance with this table.
6. (5A) A _participant firm_ which is a non-directive insurer, excluding a _non-directive friendly society_ must calculate liabilities as the amount it is required to show in Form 14, line 11, column 1 (mathematical reserves after distribution of surplus) in Insurance Company ? Reporting 13.1 in relation to the most recent financial year of the _firm_ (as at the applicable reporting date under 21.42A) for which the _firm_ is required to have reported that information to the _PRA_ under Insurance Company ? Reporting 5.5.
7. (6) A _non-directive friendly society_ must calculate liabilities as the amount that it is required to show in FSC 2 - Form 9 line 23 in Friendly Society ? Reporting 4.1 (total mathematical reserves after distribution of surplus) in relation to the most recent financial year of the _firm_ (as at the applicable reporting date under 21.42A) for which the _firm_ is required to have reported that information to the _PRA_ under Friendly Society ? Reporting. A _non-directive friendly society_ must disregard for this purpose such amounts as are not required to be included by reason of a _waiver_.
8. (7) The references to corporate pension business in the definition of 'best estimate liabilities for fees purposes' in Fees 1.2 do not apply. The split in the levy between relevant net premium income and eligible liabilities does not apply to a _participant firm_ undertaking _occupational pension fund management business_ that does not carry out any other activities within _insurance class_ C1 (ignoring any activities that would have a wholly insignificant effect on the calculation of its tariff base for _insurance class_ C1). Instead the levy is only calculated by reference to relevant net premium income.

9. (8) The split in the levy between relevant net premium income and eligible liabilities does not apply to a _flat rate benefits business friendly society_ or a partnership pension society (as defined in Friendly Society ? Reporting). Instead the levy is only calculated by reference to relevant net premium income.